



SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

20th Annual Report 2022-23

SBI Mutual Fund

Board of Directors of SBI Mutual Fund Trustee Company Private Limited



Mr. Dhruv Prakash
Independent Director



Mr. Sunil Gulati
Independent Director



Dr. Archana Hingorani
Independent Director



Mr. Achal Kumar Gupta
Associate Director



Mr. Amarjit Chopra
Independent Director



Mr. P. B. Santhanakrishnan
Associate Director

Auditors

S. G. Salecha & Co.

Chartered Accountants
B-6, Kiran Bldg., Wing 1,
Parsi Panchayat Road,
Opp. Sona Udyog,
Andheri (East),
Mumbai - 400 069.

Bankers

State Bank of India
Main Branch, Mumbai

Registered Office

9th Floor, Crescenzo, C- 38 & 39
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai - 400 051
Tel: +91 22 61793000
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DIRECTORS' REPORT

TO,

THE MEMBERS

The Directors are pleased to present the 20th Annual Report together with the audited accounts of SBI Mutual Fund Trustee Company Private Limited for the year ended March 31, 2023.

1. FINANCIAL RESULTS:

The highlights of the financial results of the Company are as under:

(₹ in lakh)

Particulars	Reporting Year	Previous Year
	2022-23	2021-22
Trusteeship Fees	282.10	245.48
Other Income (Investment income)	6.00	404.79
Total Income	288.10	650.27
Profit before tax	113.96	551.81
Less: Provision for tax	17.83	90.53
Profit for the period	96.13	461.28

2. DIVIDEND:

The Company has decided to plough back its entire profits. Hence, no dividend is recommended for the year under review (previous year: Nil).

3. TRANSFER TO RESERVES:

The Company has not transferred any amount from Statement of Profit and Loss to General Reserves (previous year: Nil).

4. CAPITAL STRUCTURE:

During the year under review, the Company has not made any fresh issue of capital. The net worth of the Company increased to ₹ 4049.19 lakh as at the end of March 31, 2023 from ₹ 3953.06 lakh as at the end of March 31, 2022.

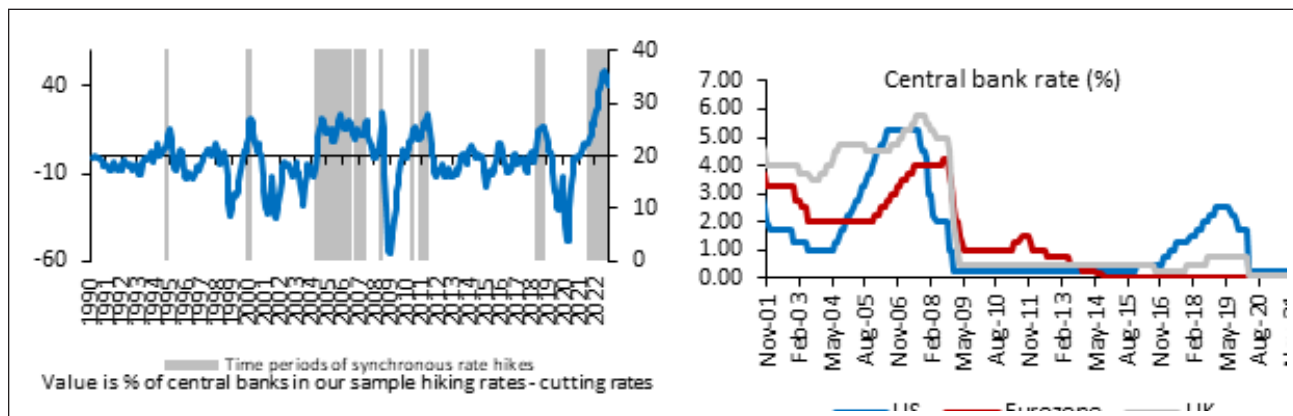
5. DETAILS OF SUBSIDIARY COMPANIES / ASSOCIATES / JOINT VENTURES:

The Company does not have any subsidiary, associate or joint venture.

6. MANAGEMENT DISCUSSION & ANALYSIS – BUSINESS ENVIRONMENT**6.1. GLOBAL MACRO**

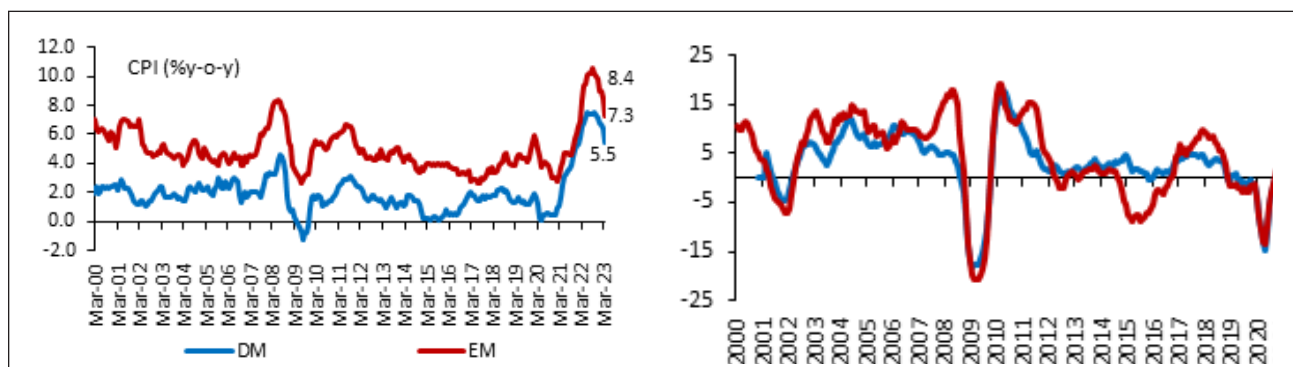
The financial year 2022-23 started in the shadows of extraordinary global developments. The Russia-Ukraine conflict that began in the last quarter of FY 2021-22 resulted in global supply chain disruptions. This added pressure to the already elevated inflation levels caused by the Covid-19 led supply side disruptions.

Over the past year, we have witnessed synchronised rate hikes by global central banks to bring inflation under control. The tightening of monetary policy also led to some undesired consequences in the form of financial stability concerns. The rapid tightening of monetary policy over the last 12 months that followed a long period of unusually loose monetary settings was bound to throw up hidden fault lines in the financial system. Financial stability concerns came at the forefront with the failure of a few banks and the forced merger of some other global names in the banking space in the second half of the financial year.



Source: Bloomberg, SBIMF Research

As we progress into 2023-24, the lag effect of the monetary tightening from the last four to five quarters will start showing its results. While inflation remained stubbornly sticky in the last few quarters, it has slowly started to moderate in recent months. Another outcome of the high inflation, elevated interest rates and liquidity tightening has been growth slowdown. Business and trade activity has started to moderate and is expected to lead to moderation in profits and wage growth going forward.

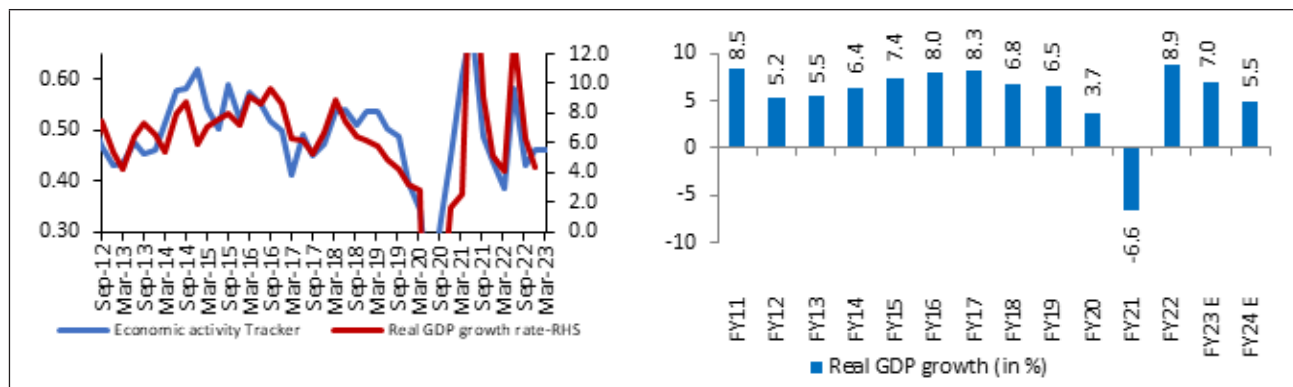


Source: Bloomberg, SBIMF Research

The 25-bps rate hike by the US Fed in May 2023 is widely expected to be the last rate hike in the current cycle. At the same time, financial markets have started pricing in rate cuts from September 2023 and are expecting a cumulative 100 bps cut by January 2024.

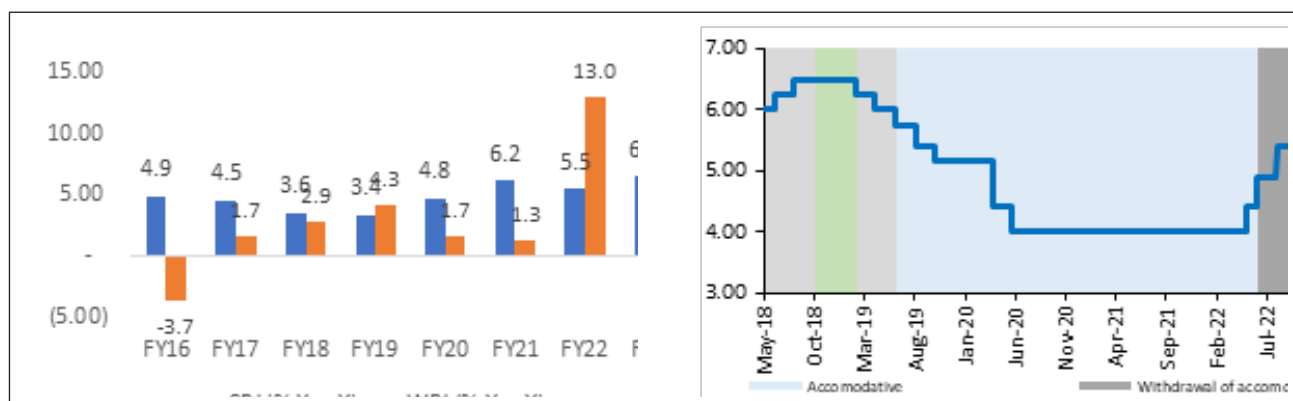
6.2. INDIAN MACRO

The Indian economy remained resilient through the turbulent phase witnessed by the global economy amidst rising inflation, policy tightening and fears of growth slowdown. India's economic activity has remained healthy till the end of financial year even as a few indicators began to plateau in March 2023. The broad economic index coincides with 4.5-5% growth in Q4 FY23. Overall, weak global growth, lagged impact of tightening monetary and financial conditions could drive India's growth down to 5.5% in FY24.



Source: CMIE Economic Outlook, CEIC, SBIMF Research

On inflation front, higher commodity prices post Covid drove wholesale and retail price pressures in India even as demand indicators (M2 growth, household consumption) were contained. Elevated CPI inflation for most part of the financial year and change in global policy cycle resulted in The Reserve Bank of India starting rate hiking cycle from May 2022. Even though RBI has hiked policy rates from 4% to 6.5% since May 2022, the effective tightening being around 300 bps as the operating target has moved from below the reverse repo rate to closer to the repo rate. The policy cycle now has reached a stage where assessment of lag effects is crucial.

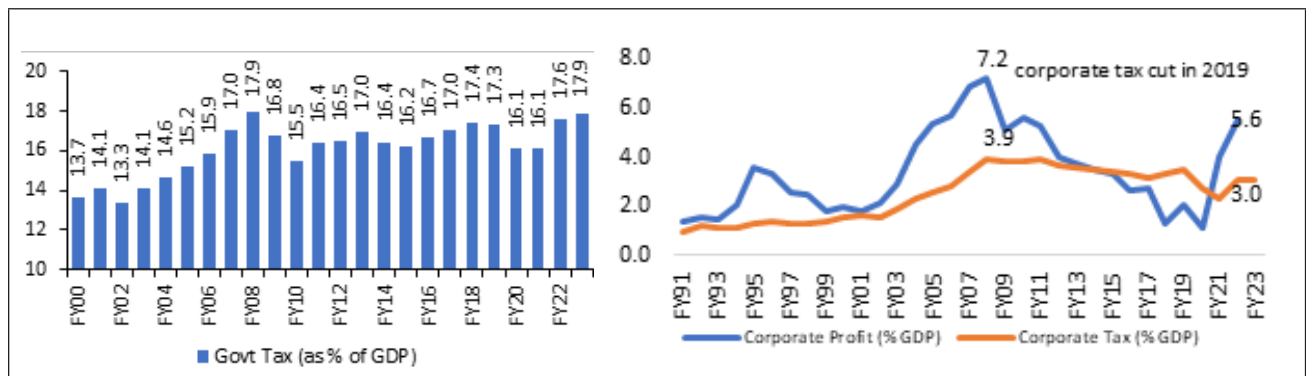


Source: Bloomberg, CMIE Economic Outlook, RBI, SBIMF Research

Given our inflation & growth projections considering the current global backdrop, we expect that the overall policy and liquidity stance could undergo a shift over the year. We expect CPI inflation to average ~5% in FY24 on account of significant base effect as well as lag effects of tightening done so far.

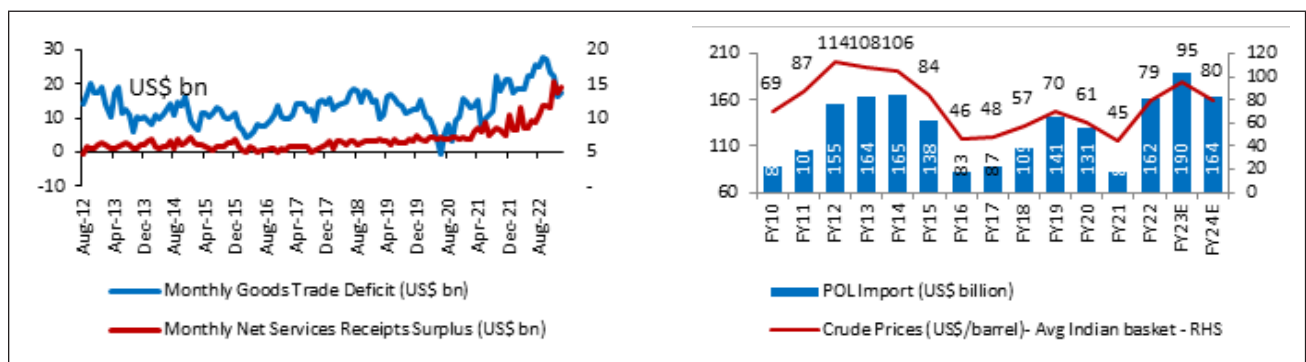
Despite the ongoing growth and inflation challenges, the government finances continue to be on a stronger footing, which is likely to keep the infrastructure-driven expenditure up in the upcoming quarters. The tax to GDP ratio is at a record level despite some cuts in direct and indirect taxes. While the centre's capex growth has been healthy for a while now, even states capex has picked up since December 2022. We believe, improved earnings and better compliance can drive further improvement in tax to GDP.

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Source: RBI, CMIE Economic Outlook, SBIMF Research

On external account front, while goods trade deficit is moderating, net services receipts is gradually scaling up. If oil prices remain around US\$ 80/bbl in FY24, CAD could stay under 2% of GDP (every US\$ 10/bbl fall in crude prices lowers the annual CAD by US\$ 16bn). We expect monthly trade deficit run rate to narrow by US\$ 4bn in 2023, which alone lowers CAD by 1.4% of GDP. Sequential improvement in external account, falling inflation and relatively better domestic growth could lead to marginal appreciation in INR beyond the near term.



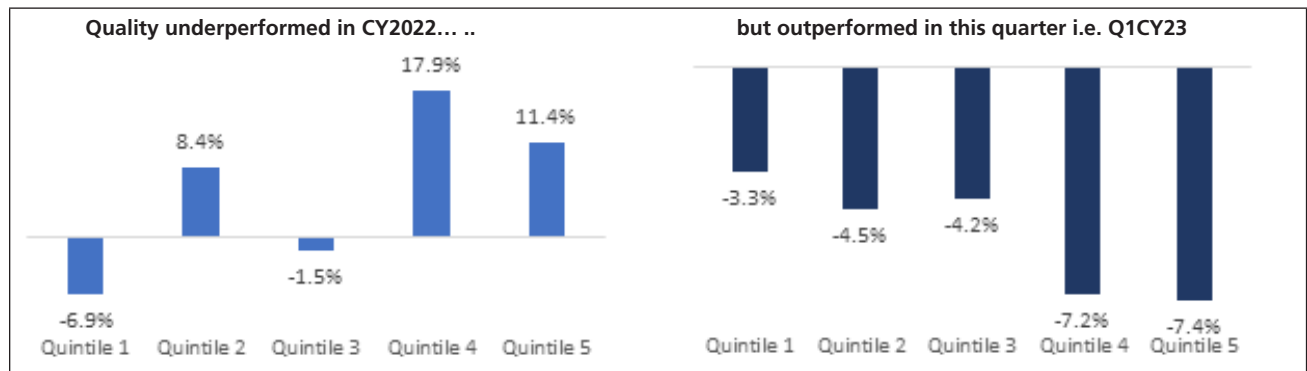
Source: RBI, CMIE Economic Outlook, SBIMF Research, * Crude prices are as reported by government agencies

6.3. OUTLOOK:

6.3.1.EQUITY

Macro uncertainties with respect to likely growth slowdown amidst continued tight policy environment has led to defensive mood in the near term. It is reflected in quality, large caps and defensive sectors (such as Tech, Consumer Staples) outperforming in the recently concluded quarter

After a rough outing in CY22, investors are seeking shelter in quality again



Source: Bloomberg, SBIFM Research

Note: Quintile 1 is the highest quality while Quintile 5 is the lowest quality on our internal definitions of quality. Universe is BSE100

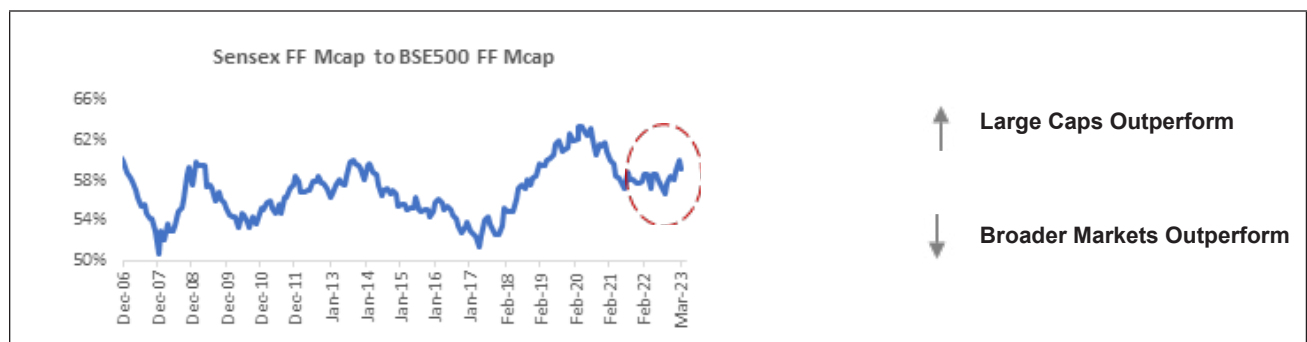
Defensive sectors have begun outperforming cyclical sectors now reflecting economic sluggishness



Source: Bloomberg, SBIFM Research

Note: Defensives include Technology, Consumer Staples and Pharma; Cyclicals include Consumer Discretionary and Industrials

Large caps outperform broader markets; breadth narrows as investors turn risk-averse

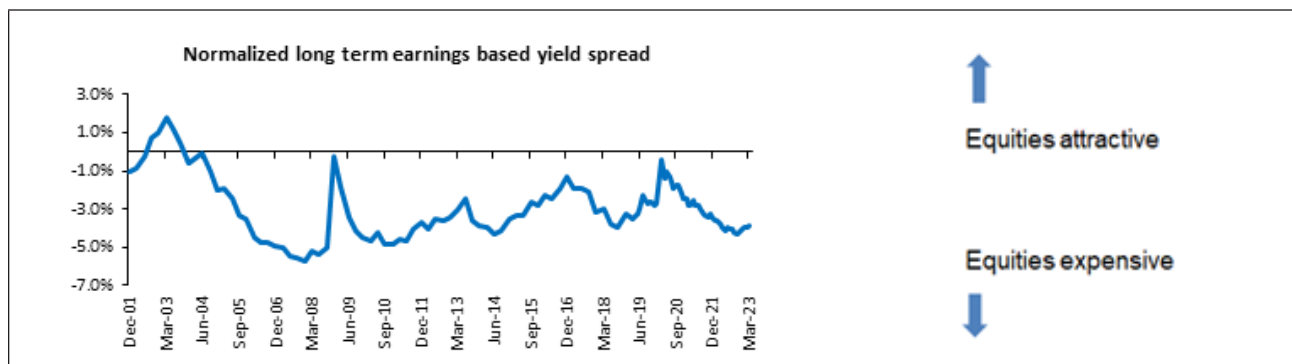


Source: Bloomberg, SBIFM Research

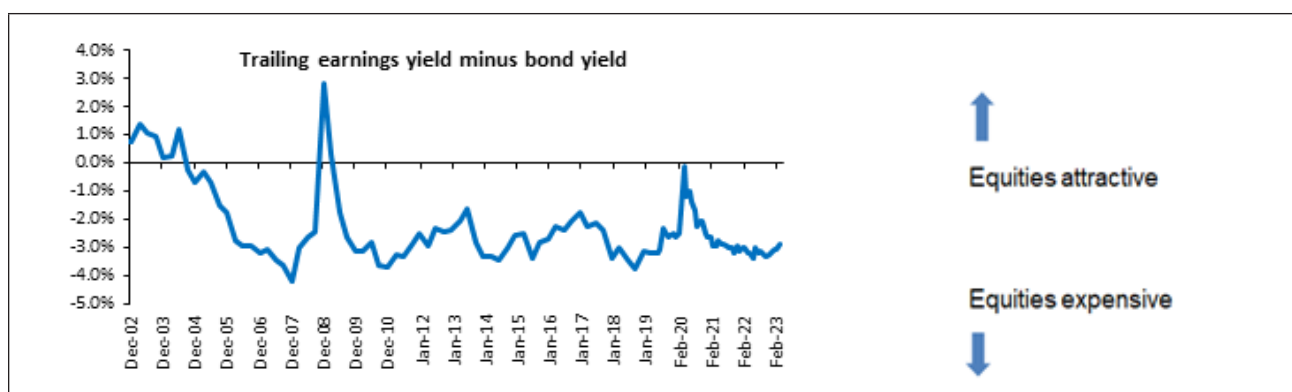
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Equity Valuations as measured through our preferred gauges of yield spreads have moderated somewhat but still stay on the expensive side. Some softness in bond yields, along with some price and largely time correction (markets staying sideways as earnings continued to catch up) have been behind this moderation. Shiller yield spread (which looks at the spread of long-term inflation adjusted earnings yield minus bond yield, to adjust for any cyclicity in corporate earnings) which was expensive at 83rd percentile versus history in November has now moderated to 67th percentile. Similarly, trailing yield spread (trailing earnings yield minus bond yield) has moderated to 60th percentile now versus 87th percentile in November 2022. However, with both readings above 50th percentile, valuations are still on the expensive side.

Valuations have started to moderate



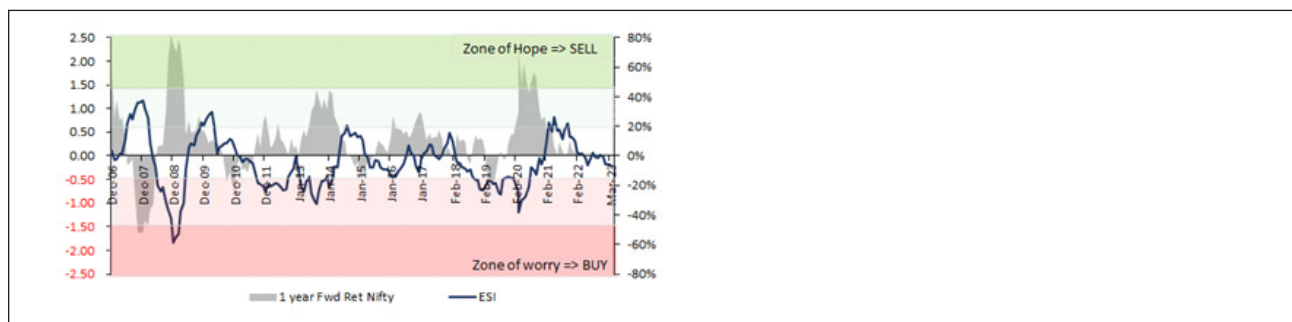
Source: Bloomberg, SBIFM Research



Source: Bloomberg, SBIFM Research

Similarly, **Equity Sentiment** as measured through our proprietary framework has entered the zone of pessimism thanks to the corrective action of the past year and a half. However, it is not pessimistic enough to signal a contrarian buying opportunity for equities yet.

Sentiment Index in pessimistic zone but not at climactic extremes yet



Source: Bloomberg, SBIFM Research; ESI stands for Equity Sentiment Index.

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In summary, markets continue to navigate the near-term slow growth environment while correcting valuations excesses that had built up. The adjustment process however may still not be over yet. A cool off in bond yields may be required to open space on equity valuations. Diversification across assets and within equity portfolios should work well in this environment. We continue to think of 2023 as a year of adjustment even as longer-term trends continue to favour an investment led earnings cycle in India.

6.3.2. FIXED INCOME

Volatility in global yields remained the abiding theme over the last year. At the same time, potential financial stability concerns started to emerge in the global market landscape as the fiscal year closed. Elevated headline inflation and tighter job markets led the FOMC to continue tightening monetary policy with the Fed Funds rate moving up to between 4.75%- 5.00%. Market expectations on the future trajectory of policy rates have been continuously repriced over the last few months.

Policy rate expectations in global markets have shifted over the last 2 months of the financial year with fears of additional tightening being replaced with renewed bets on a change in course. The concerns surrounding deposit outflows from the regional banks and the resultant impact on broader financial stability led to markets repricing expectations of additional policy tightening. Market implied policy rates based on Fed Funds futures point to at least 2 rate cuts over CY 2023.

Bond markets in India have stayed relatively calm as the rapidly shifting conditions of tighter financial conditions, hawkish central banks and subsequently financial stability concerns whipsawed across global markets. Alongside the cumulative policy tightening of 250bps over the fiscal year, the shift in liquidity dynamics has ensured that effective tightening has been to the tune of at least 315 bps. The effective overnight rates have moved higher from around the reverse repo rate of 3.35% to 6.50%.

We maintained a lower duration stance over the first quarter of CY 2023 that has enabled portfolios to be well protected from the market volatility marked with a directional uptick in interest rates. We have incrementally turned more positive on increasing duration over recent quarter, given the large policy hikes and normalization of liquidity undertaken by the RBI apart from the signalling on aligning inflation towards the policy target of 4%. The upwards shift in the yield curve currently provides a prospective real rate across most tenors.

6.4. THE YEAR THAT WAS

The Indian Mutual Fund (MF) Industry witnessed a decent annual growth of 19.5%* in the Quarterly AAUM (Average Assets Under Management) during the year on the back of net inflows of assets.

(₹ in Crore)

Particulars (MF Industry)	Reporting Year 2022-23	Previous Year 2021-22
Total Assets mobilized (₹ in Crore)	1,05,07,356	93,19,096
Total Redemptions/ Repurchases (₹ in Crore)	1,04,31,131	90,72,504
Net Inflows (₹ in Crore)	76,225	2,46,592
Quarterly (Q4) Average AUM * (₹ in Crore)	40,51,147	38,37,994
Monthly SIP Value (₹ in Crore)	17,511	14,050
Live SIPs (number in Crores)	5.91	4.86
Fresh SIPs during the year (number in Crores)	2.31	2.40

*Source-AMFI, #Source-MFI Explorer

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6.5. MUTUAL FUND INDUSTRY – REGULATORY DEVELOPMENTS

1. Amendment to KYC (Know Your Client) Registration Agency (KRA) Regulations, 2011.
2. Amended regulation on the risk value of commodities for risk-o-meter introduced in the process for evaluation of risk value of commodities in which mutual funds are permitted to invest. Investment in commodities by mutual fund schemes shall need to be assigned a risk score corresponding to the annualized volatility of the price of the said commodity.
3. New regulations for the development of passive funds effective from July 01, 2022 was introduced which comprehensively covers norms for Debt ETFs and Index Funds, their index constitution, norms for market making framework for ETFs, investor education and awareness charges in ETFs and certain FoFs, direct transaction in ETFs through AMCs, tracking error and tracking difference, valuation, disclosure of NAV, rebalancing period, minimum subscription amount during New Fund Offer (NFO), introduction of ELSS in Passive Fund Category etc.
4. Updated version of the Cyber Security and Cyber Resilience Framework for Mutual Funds/ Asset Management Companies (AMCs).
5. Mandated Nomination requirements for Mutual Fund Unitholders, i.e., an investor has an option to appoint nominee or opt out of nomination.
6. Timelines for transfer of dividend and redemption proceeds to unitholders were revised.
7. AMCs to have proper remote access policy incorporating the specific requirements of securely accessing the enterprise resources remotely, using internet connection.
8. Introduced credit risk based single issuer limit for investment by mutual fund schemes in debt and money market instruments.
9. Advisory on cybersecurity best practices as recommended by Financial Computer Security Incident Response Team (CSIRT-Fin)
10. Capital gains on Specified Mutual Funds (i.e., funds having up to 35% allocation in domestic equities) acquired on or after 1st April 2023 shall be treated as short term capital gains irrespective of holding period and will be taxable at normal tax rates applicable to the investor. The indexation benefits and special tax rate of 20% on long-term capital gains (LTCG) on non-equity funds would continue for funds having more than 35% allocation in domestic equities (such as multi asset allocation funds or certain conservative hybrid funds).

6.6. PORTFOLIO MANAGEMENT SERVICES – REGULATORY DEVELOPMENTS:

1. SEBI amended PMS regulations and issued circular effective from September 20, 2022 which provides for prudential limits on investments in securities of associates/related parties of Portfolio Manager, requirement of taking prior consent of client for such investments, minimum credit rating of securities for investments by Portfolio Managers, suitable disclosures to the clients regarding such investments, credit ratings, etc. in the Disclosure document, periodical reporting.
2. SEBI has specified that Portfolio Managers to put in place a written down policy in compliance with the PMS Regulations and circulars issued thereunder, which inter-alia detail the specific activities, role and responsibilities of various teams engaged in fund management, dealing, compliance, risk management, back office, etc., with regard to management of client funds and securities including the order placement, execution of order, trade allocation amongst clients and other related matters; to constitute a dealing team (DT) responsible for order placement and execution of all orders; automated system with minimal manual intervention for ensuring effective funds and securities management; to maintain audit trail of all activities related to management of funds and securities of clients including order placement, trade execution and allocation. Further, there shall be time stamping with respect to order placement, order execution and trade allocation.
3. SEBI has prescribed requirements related to performance reporting and benchmarking by Portfolio Managers. In addition to Investment Approach (IA), an additional layer of broadly defined investment themes called "Strategies" to be adopted by Portfolio Managers. Portfolio Manager shall present the Time-weighted Rate of Return ('TWRR') of the IA along with the trailing return of the selected benchmark when communicating/ advertising/ publishing/ mentioning performance of an IA.

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- SEBI has issued guidelines on Cyber Security and Cyber Resilience effective from October 01, 2023 for all Portfolio Managers with AUM of INR 3000 crore or more, under discretionary and non-discretionary portfolio management service taken together, as on the last date of the previous calendar month.

6.7. ALTERNATIVE INVESTMENT FUNDS (AIF) – REGULATORY DEVELOPMENTS:

- SEBI has specified timeline for declaration of first close for AIF schemes, calculation of tenure of close-ended schemes of AIFs.
- SEBI has allowed participation of AIFs in Credit Default Swaps (CDS).
- SEBI has issued circular for undertaking of transaction in Corporate Bonds through Request for Quote (RFQ) platform by Alternative Investment Funds (AIFs) effective from April 01, 2023.

7. FUND HOUSE PERFORMANCE

7.1. BUSINESS PERFORMANCE DURING THE YEAR

- 7.1.1. SBI Mutual Fund ('SBI MF' / the 'Fund House') grew by 10.83% in terms of average AUM on a year-on-year basis in FY 2023, which is the highest among the top ten fund houses. SBI MF further consolidated its leadership and top rank in the industry in terms of the average AUM during the year. The market share gain on the average AUM terms was 0.84% on a year-on-year basis, the highest in the industry. The Fund got over 55% of industry market share of the new net-funds flow during the year.
- 7.1.2. SBI MF was the first mutual fund house to cross an Asset Under Management (AUM) of Rs. 7 Lakh Crs further cementing our leadership position. Our market share has also touched a new high of ~17.70 %. We have also added 22 Lakh new investors in this financial year.
- 7.1.3. A snapshot of the Mutual Fund portfolio during the year is provided below:

(₹ in Crore)

Particulars	Reporting Year 2022-23	Previous Year 2021-22
Total Assets mobilized (₹ in crore)	25,83,924	19,72,517
Total Redemptions/ Repurchases (₹ in crore)	25,41,903	18,90,599
Net Inflows (₹ in crore)	42,021	81,918
Quarterly (Q4) Average AUM* (₹ in crore)	717,161	6,47,067
Market Share %	17.70	16.86
Average AUM Rank	1st	1st
Monthly SIP Value (₹ in crore)	2,306	1,908
Live SIPs (number in lakhs)	90.53	77.17
Fresh SIPs during the year (number in lakhs)	37.02	36.55

*Source-AMFI

- 7.1.4. The Fund House continued to be the largest ETF Asset Manager in India, with QAAUM of ` 2,37,407 Crore with a market share of 46.82% for the quarter ending March 31, 2023 from ` 198,166 Crore and a market share of 46% for the quarter ending March 31, 2022.
- 7.1.5. The Fund House has been continuously striving to evolve the investment management capabilities including developing digital modes of transaction and building new investment portfolios for clients. During the year, 82% of all SIP transactions were registered digitally.
- 7.1.6. SBI Mutual Fund launched 26 New Fund Offers (NFOs) during the year which includes 7 open ended funds and 19 Fixed Maturity debt funds mobilizing in aggregate Rs.12,748 crores. The 7 open ended funds launched are SBI Dividend Yield Fund, SBI Long Duration Fund and 5 Index Funds namely, SBI Nifty Midcap 150 Index Fund, SBI Nifty Smallcap 250 Index Fund, SBI CRISIL IBX Gilt Index- June 2036 Fund, SBI CRISIL IBX Gilt Index- April 2029 Fund, SBI CRISIL IBX SDL Index- Sept 2027 Fund.

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7.1.7. SBI Mutual Fund – Schemes Performance: As on March 31, 2023, under the one-year return category:

- 1) 76% of our equity funds and 85% of our non-equity funds were in the top two quartiles.
- 2) Many of our major equity funds like SBI Long Term Equity Fund, SBI Retirement Benefit Fund - Aggressive Plan, SBI Large and Midcap Fund, SBI Blue Chip Fund; SBI Magnum Midcap Fund, SBI Small Cap Fund, SBI Magnum Global Fund, SBI Contra Fund, SBI Healthcare Opportunities Fund, SBI Technology Opportunities Fund, SBI Consumption Opportunities Fund, SBI Retirement Benefit Fund - Aggressive Hybrid Plan, SBI Arbitrage Opportunities Fund, SBI Balanced Advantage Fund were in the top quartile.
- 3) In the fixed income category, SBI Dynamic Bond Fund, SBI Magnum Gilt Fund, SBI Magnum Constant Maturity Fund, SBI Magnum Low Duration Fund, SBI Magnum Medium Duration Fund, SBI Short Term Debt Fund, SBI Retirement Benefit Fund - Conservative Hybrid Plan, SBI Retirement Benefit Fund - Conservative Plan and SBI Conservative Hybrid Fund were in the top quartile.

With the launch of SBI Long Duration Bond Fund & SBI Dividend Yield Fund, SBI MF now has products available across all the open-ended SEBI defined categories. Further, we are one of the few AMCs that successfully raised funds through FMP launches throughout the year.

7.1.8. Systematic Investment Plans (SIPs) have played a key role in the growth of mutual fund industry, ensuring stickiness and building long term relationships. The monthly SIP trigger of SBI MF showed a growth of ~23% year-on-year.

7.1.9. We have also introduced the concept of Net Promoter Score (NPS) in FY23 which acts as measure used to gauge customer loyalty, satisfaction and enthusiasm with a company.

7.1.10. Apart from the mutual fund activity, the business parameters of the Portfolio Management / Advisory services (including Retail PMS), Alternate Investment Funds and Off-shore Fund were as under:

(₹ in Crore)		
Particulars	Reporting Year 2022-23	Previous Year 2021-22
Portfolio Management/Advisory Services (including Retail business)	11,73,031	9,99,003
Alternate Investment Fund	481	271
SBI Resurgent India Opportunities Fund (Off- Shore Fund)	317	325

7.1.11. Overall, along with the growth in the business volume, the SBIMF Group was managing total assets of about ` 18,81,441 Crores as on March 31, 2023 (` 16,49,981 Crores as on March 31, 2022).

7.2. DISTRIBUTION NETWORK

The Fund House works with a diverse set of distribution partners and currently has over 99,000 empaneled distributors which include mutual fund distributors, national distributors, banks (nationalized and private sector banks), investment advisers and fintech firms. During the year, we had a presence in 278 locations spread all over India with 1 overseas Point of Presence in Dubai.

7.3. AWARDS AND RECOGNITION

SBI Mutual Fund won several accolades for investment performance with details as under:

- SBI Banking & Financial Services was awarded in the Equity Sector Financials category (5 years) in the **Lipper Fund Awards Ceremony of 2022**
- SBI Magnum Children's Benefit Fund was the winner in the Mixed Asset INR Conservative (5 & 10 years) in the **Lipper Fund Awards Ceremony of 2022**
- SBI Magnum Gilt Fund-Growth was the winner in the Bond INR Government category (10 years) in the **Lipper Fund Awards Ceremony of 2022**
- SBI Funds Management Ltd was the winner under Overall Group Award in the **Lipper Fund Awards Ceremony of 2022**
- SBI Funds Management Ltd was the winner under Mixed Asset Group in the **Lipper Fund Awards Ceremony of 2022**
- SBI Magnum Income Fund was awarded the **Best Medium to Long Duration Fund in the Morningstar Fund Awards Ceremony 2023**.

7.4. INVESTOR EDUCATION

7.4.1. In a year where domestic and global markets have seen upheaval with inflation and slowdown worries, investor awareness and education initiatives are critical to reach out to investors. Mutual Funds penetration in our country is growing with an increase in SIP folios primarily in equity-oriented funds, this financial year has been one of many narratives – passives, hybrid funds and asset allocation. As a fund house, we have chosen to increase our communication with investors relying on easy-to-understand narratives in their language to enable them to make prudent decisions about their money. We used different communication mediums to increase reach and leveraged thought-leadership platforms, when possible, to engage with investors and other stakeholders across the country.

7.4.2. Some of the major investor awareness activities undertaken by us during the year are mentioned as under:

1. Content development

- i) **Articles** – Buzzwords like Inflation, Rate Hikes and Multi Asset have dominated the news in the current financial year with RBI's policy actions monitored more closely than ever before. Our association with India Today's Nivesh Yatra section continued where we have disseminated articles on different areas of investments like asset allocation, mutual fund for every stage and passive fixed income investing. Our CIO – Fixed Income and Senior Economist decoded policy actions and provided the fund house view, through a series of articles, on fixed income markets, inflation and the global & domestic economy in the year ahead. The content was adapted to formats like online mailers/WhatsApp and circulated to investors and distribution partners alike and hosted on our own SBI Mutual Fund blog – Inspire which is available on our website.
- ii) **Videos** – India has 780 million internet users, and an average Indian spends around 7.3 hours per day on smartphone – one of the highest in the world! With rising consumption of videos along with the rising trend in content consumption, we continued to leverage the growing trend in short format videos on investor education on SIP, SWP, SIP Top-up, ELSS, Target Maturity Funds, benefits of diversification, interest rates and inflation etc. We also used topical videos on Mother's Day, Savings Day, etc. sharing interesting aspects of investing and saving connected to them. All the videos created were promoted on social media platforms and uploaded on the SBI Mutual Fund YouTube channel. These efforts, we believe, have helped build a strong affinity for SBI Mutual Fund by establishing an emotional connection with audiences, specifically the millennials.

2. **Social Media** – We continued our focus on driving higher engagement on all our social media handles by using a content led approach, rich media, engaging graphic representation. In the current financial year, other than the regular updates, we reached out to our audience with quirky topical posts on Navratri, Valentine's Day and many more. Creative platforms like social media live, reels and quizzes are developed to engage with social media users regularly.
3. **Digital Marketing** – We have continued to leverage on reaching out to millennials with investor education campaigns on SIP. Alongside our campaign #BeFutureReady - Mutual fund schemes for every stage of your life, aimed at creating maximum visibility and impact on key digital platforms, reaching out to targeted audiences. Over and above this we continued promoting concepts like SIP Top-up SIP, Staying Invested, SWP and ELSS through prominent domain and finance sites. Dedicated landing pages which give users a good online experience and help create awareness were the key objective of our digital marketing initiatives. These activities are supplemented with organic and affiliate email campaigns which help in reach and awareness to a large group of online audiences.
4. **Public Relations/Media** – The increase in news flow, with the global and domestic market movements, has led to an increased awareness in people seeking views and opinions from experts on finance and investments. Our intent through media interactions and authored articles with media (newspapers, magazines, online, and television) has been to guide and inform of our view as a fund house. A series of articles from the CIO – Fixed Income and Senior Economist's Desk have decoded policy actions and shared outlook for the year ahead. The interactions with our other spokespersons have helped guide investors during a year where fixed income looked attractive, at the same time there is value in equity too.

5. Media Campaigns

- a. Our first campaign of the financial year was centered around the thought 'Be Future Ready' with mutual fund schemes. Each of us have our own financial goals, which are different from each other in terms of risk appetite, time horizon for the goal and capacity to invest. What is common for all though, is that whatever the goals may be, a mutual fund scheme is available to invest in it. We took our investor education and awareness initiatives across the country with press advertisements across business & dailies (English & 11 regional languages), television promotions through innovation ads on CNBC-TV18 network (English, Hindi and Gujarati) and Radio Jingles (English & 9 regional languages). Fund categories like Flexi Cap Funds, Balanced Advantage Funds, Hybrid Funds, Retirement-Oriented Funds, Children-Oriented Funds and Money Market Funds were used as prime examples with a description on how these funds can help an investor plan for their various life goals.
 - b. **Systematic Investment Plans** have been the backbone of the mutual fund industry with consistent inflows every month. Over the years, a lot of communication and education has been centered primarily around how an SIP works or helps in accumulating the corpus. However, as a next step we want to create awareness on how investors can make their SIP 'smarter' by choosing a long tenure and doing regular top-up in SIP amount every year. SIPs which are started for longer tenures and have regular increase in amount go a long way in keeping up with inflation and changing lifestyle needs. We developed two videos on this premise – 1) Start your long-term SIP Today and 2) Keep Increasing your SIP Amount regularly. We have used real life scenarios to drive the point home and the subsequent 'consumer benefit' of the actions i.e., SIP helping achieve an education goal being realized and helping one be in step with an increase in lifestyle. Additionally, an outdoor campaign across 102 cities in English & 10 regional languages was done with the message 'Dare to Dream with SIP' to promote SIP to plan for life's financial goals.
 - c. For any parent, children are the center of their universe with every need becoming a priority. Being Prepared for their aspirations is necessary for which one needs to start investing early, preferably through Children-Oriented Mutual Funds which are developed specifically for their future needs. We decided to do a campaign to educate parents to 'mentally allocate' their investments towards their child's goals through such funds. Innovations in print were used to increase visibility about our message for the fund in personal finance and business newspapers which included Jacket Advertisements and French Window Advertisements.
 - d. With equity markets seeing a lot of movement this financial year and fixed income instruments seeing rising yields, the focus was on fixed income to diversify and stick to asset allocation for portfolios. A print campaign in select business publications (English & Hindi) promoted Target Maturity Funds, which invest in an index usually comprising of sovereign debt securities with a specified maturity period in the future. Our message for the campaign was if one had a fixed tenure in mind for their investments in line with the fund's maturity these low-cost funds, with an indicative yield visible, are simple but ideal option.
6. The AMC has conducted 133 Investor Education meets with more than 5,616 participants in FY 2022-23. In these events, trained professionals discussed the basics of investments, mutual funds and their categories, wealthy habits, financial goal planning, wealth management etc. In these events our professional trainers explain the concept in a lucid manner with the help of presentation and video screening. Our investor awareness programs are conducted at Educational Institutes, State Bank of India branches, Army Cantonments, Air Force Stations, and for the employees of different corporate houses through online/offline mode. Our investor awareness programs have been well received by the participants and are key to spreading financial literacy and awareness across the regions.

7.5. DIGITAL INITIATIVES**7.5.1. New Feature Launches**

- Introduced UPI Autopay for registering SIPs through UPI mode
- Added IMPS facility to the existing Smart Code Facility
- Top up SIP Facility - % based Top Up SIP facility

7.5.2. Customer Facing Assets

- Launched the new experience on website and InvesTap – Built on a new architecture using latest technology and with refreshed designs
- Added multilingual capabilities - Launched the Hindi website – hi.sbimf.com, app in Hindi will be rolled out shortly.
- Revamped the Whatsapp experience – with an interactive User Interface, improved response time and multiple mediums of communication.
- Configured the new marketing automation platform with user journeys – We engage with 3 lakh + customers every month across multiple channels – SMS, Whatsapp, Email, Mobile Apps, Website.
- Smart Statement - Launched a brand-new smart statement, with fresh insights, the smart statement was shared with all our investors.
- PMS New Investor Onboarding Platform
- Group SIP – Investment by employers – Employers can issue bonuses/incentives in form of mutual fund units for their employees.

7.5.3. Partner Facing Assets

- Launched the new Partner APP with a complete revamped architecture and design
- Introduced new features like- Bulk Transaction, Edit SIP, Planner, Transaction History and many more.
- Enabled OTP based login on Partner Portal for easy access.

7.5.4. Mitra App

- Introduced a knowledge center on Mitra App
- Enabled Mitra App for RRBs
- Added fresh Insights & Reports on Mitra App for better discovery of potential customers

7.5.5. YONO

- Increased engagement with YONO customers through various campaigns across e-mail, social media and in-app notifications & banners
- Opened up-selling opportunities and enabled the branches with relevant data
- Redesigned the Mutual Fund Experience on SBI Branch Portal

7.5.6. SBI Net Banking

- Built a new Mutual Fund Investment experience for customers initiated through SBI's net banking platform. The experience is currently under CUG testing.

7.6. FUTURE PLANS

- **Business Development** – Few headwinds from FY 23 continue to remain in FY 24 as several domestic as well as global uncertainties continue to prevail. We expect FY 2024 to be a dynamic year for the industry, both from the perspective of growth in assets as well as pressure on margins. Given the backdrop of high inflationary trajectory as well as the current global geo-political situation, we may witness turbulence across asset classes. We will, however, continue to focus on business development and market making activities as well as cost optimization. We will continue to invest in the business, especially for expanding the new business lines of alternates. We will also make significant investments into technology to protect our data and develop highest standards of data security.
- **New Products** - In terms of our product basket, we will continue to add funds through innovation, especially on thematic and passives, since on the actively managed mutual fund side, we do not have any meaningful product gaps. We will also evaluate offerings on the alternatives – both PMS & AIF. We would also be expanding our international range of offerings as well as launching more solution-oriented fund of funds in the coming year.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

- **Deepening our reach** – One of our key pillars for growth is going to be through our focus on market making by deepening our penetration, especially in Tier II & beyond cities. We would continue deeper engagement with our existing distribution network for this goal, including our parent bank as well as focus on cultivating new cadre of distributors to support us in this endeavour.
- **Alternates** – Growing our alternative business would continue to be a key growth area for us. We have launched one AIF & one PMS strategy last year. This year, we would aim at scaling the existing funds, as well as launch newer strategies in this space.
- **Tapping into overseas investor segment** – Over the years, the demand for India as an investment destination has seen tremendous growth. Initiatives such as creation of GIFT CITY is an added pivot for getting such investments in to India.
- **Digital** – There is a constant effort for upgrading our digital infrastructure. There are several new tools that we would be launching which will further add to investors experience of ease of transacting and partner engagements.

8. SBI Funds Management Limited was appointed by the Honorable Supreme Court of India to undertake liquidation and distribution of assets of six schemes of Franklin Templeton Mutual Fund

The Hon'ble Supreme Court Vide orders dated February 2, 2021 February 9, 2021 and February 12, 2021 in the SLP Nos. 14288-14291/2020 in Franklin Templeton (FT) Vs. Amruta Garg & OR's., appointed SBIFM to undertake the exercise of distribution and winding up, which includes liquidation of the holdings/assets/portfolio and distribution/payment to the unitholders of the six schemes of Franklin Templeton Mutual Fund ('FTMF'). SBIFM received cash amounting to ₹ 9,122 crores for initial disbursement and balance securities amounting to ₹ 17,682 crores for liquidation and subsequent disbursement.

SBIFM based on its standard operating procedure application filed with the Hon'ble Supreme Court has liquidated securities of appx. 98% of securities received under liquidation. The proceeds from liquidation have been received from selling the securities, maturity proceeds, expense reversals and collections from coupons. As on March 31st, 2023, the securities amounting to ₹ 17867 crores have been liquidated, out of which ₹ 659 crores have been liquidated in FY23. The total disbursements made by SBIFM to FTMF unitholders is ₹ 26932 crores which include ₹ 833 crores disbursed in FY23, ₹ 16,977 crores disbursed in FY22 in addition to the ₹ 9,122 crores of the initial disbursement in FY21.

SBIFM has filed interim updates with the Hon'ble Supreme Court regarding progressive status of disbursement and liquidation on 15th March 2021, 17th January 2022 and 5th April 2022. The Hon'ble Supreme Court had vide its order dated April 12, 2022, directed that no further distribution of the available fund/money shall be made by SBIFM without prior permission/approval of this Court, which was subsequently vacated by orders dated 3rd August 2022 and 12th August 2022, by the Hon'ble Supreme Court, wherein the Court allowed disbursement of certain amounts to the unitholders of various schemes.

9. CHANGE IN THE NATURE OF BUSINESS

There was no change in nature of business during the year under review.

10. MATERIAL CHANGES AND COMMITMENTS IF ANY AFFECTING THE FINANCIAL POSITION OF THE COMPANY WHICH HAVE OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR OF THE COMPANY TO WHICH THE FINANCIAL STATEMENTS RELATE AND THE DATE OF THE REPORT

There have been no material changes and commitments affecting the financial position of the Company which have occurred between the end of the financial year 2022-23 and the date of this report.

11. ENERGY CONSERVATION, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS & OUTGO

11.1. CONSERVATION OF ENERGY AND TECHNOLOGY ABSORPTION:

Since the Company does not own any facility, the disclosure under this head is not applicable.

11.2. FOREIGN EXCHANGE EARNINGS AND OUTGO:

During the financial year under review, there was no earnings as well as outgo in foreign currency.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

12. RISK MANAGEMENT SYSTEM

The Company has in place a Risk Management Policy duly approved by the Risk Management Committee of the Board and the Board of Directors. An Enterprise Risk approach is followed, and the Policy covers Investment Risk, Operational Risk, Reputation Risk, Cyber Risk, Financial Risk etc. The Enterprise Risk control framework, escalation, and monitoring mechanism is outlined in the Policy and is in place within the Company. We follow the Risk Control Self-Assessment approach for identification of risks and the same is duly escalated to the Risk Management Committee of the Board. Key risk indicators have been defined for risk measurement and the same are duly monitored.

13. INTERNAL FINANCIAL CONTROLS

The Company has put in place adequate internal control systems that are commensurate with the size of its operations. Internal control systems comprising policies and procedures are designed to ensure sound management of the Company's operations, safekeeping of its assets, optimal utilisation of resources, reliability of its financial information, and compliance. Clearly defined roles and responsibilities have been institutionalised, and systems and procedures are periodically reviewed to keep pace with the growing size and complexity of the Company's operations. During the year, these controls were tested and were found to be operating effectively.

14. LOANS, GUARANTEES OR INVESTMENTS

- a) There are no Loans or Guarantees given by the Company under the provisions of Section 186 of the Companies Act, 2013.
- b) All the Investments made by the Company are within the limits specified under Section 186 of The Companies Act, 2013.

15. DEPOSITS:

The Company has neither accepted deposit from the public nor from the members of the Company falling within the ambit of Section 73 to 76 of the Companies Act, 2013 and the Companies (Acceptance of Deposits) Rules, 2014. Further, the Company has not accepted any funds from the Director(s) of the Company during the financial year under review.

16. RELATED PARTIES TRANSACTIONS

All related party transactions entered into by the Company during the financial year were on arm's length basis and in the ordinary course of business of the Company. The details of all related party transactions have been placed before the Audit Committee of the Board and are provided in Note no. 7 to the financial statements of the Company.

17. DIRECTORS

17.1. During the period under review and till the date of this Report, the following changes took place in the Board of Directors of the Company:

- a) Mr. Richard Mendonca (DIN: 00770556) ceased to be Director from the close of business hours on April 28, 2022.
- b) Mr. P. B. Santhanakrishnan (DIN: 03213653) was appointed as Associate Director with effect from October 18, 2022.

The Board placed on record its appreciation of the valuable contributions made by Mr. Richard Mendonca during his tenure and also extended a warm welcome to Mr. P.B Santhanakrishnan on joining the Board of the Company.

The Company is a Private Limited Company, the provision of appointment for Independent Directors does not apply. However, in terms of SEBI (Mutual Funds) Regulations, 1996, the Company has appointed Independent Directors.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

17.2. BOARD MEETINGS

9 Board meetings were held during the financial year under review on following dates: April 28, May 11 adjourned to May 12, June 06, July 25, September 29, October 28, December 27 of 2022 and February 03, March 17 of 2023. The attendance of each director at the meetings of the Board of Directors was as under:

Name of the Director	Director Identification Number (DIN)	Category of Director	Number of meetings attended
Mr. Dhruv Prakash	05124958	Independent	9
Mr. Richard Mendonca*	00770556	Associate	1
Mr. Sunil Gulati	00016990	Independent	9
Mr. Achal Kumar Gupta	02192183	Associate	9
Dr. Archana Hingorani	00028037	Independent	9
Mr. Amarjit Chopra	00043355	Independent	9
Mr. P.B Santhanakrishnan**	03213653	Associate	4

(*) Ceased to be a Director from the close of business hours on April 28, 2022 during the period under review as specified in Para 17.1 above

(**) Appointed w.e.f. October 18, 2022 during the period under review as specified in Para 17.1 above.

17.3. AUDIT COMMITTEE OF DIRECTORS

The Audit Committee was constituted by the Board of Directors in their meeting held on December 29, 2004. The Audit Committee reviews the internal/concurrent audit reports of schemes of SBI Mutual Fund and its compliance with SEBI/RBI instructions, approves the financial results of the domestic schemes of SBI Mutual Fund, the off-shore Fund and the Company.

The Audit Committee met 6 times during the year on: April 28, June 06, July 25, September 16, October 28 of 2022, and January 30 of 2023. The attendance of each member at the meetings of the Audit Committee was as under:

Name of the Director	Director Identification Number (DIN)	Category of Director	Number of meetings attended
Mr. Dhruv Prakash	05124958	Independent	6
Mr. Richard Mendonca*	00770556	Associate	1
Mr. Achal Kumar Gupta	02192183	Associate	5
Mr. Amarjit Chopra	00043355	Independent	5
Mr.P. B Santhanakrishnan**	03213653	Associate	1

(*) Ceased to be a Director from the close of business hours on April 28, 2022 during the period under review as specified in Para 17.1 above

(**) Appointed w.e.f. October 18, 2022 during the period under review as specified in Para 17.1 above.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

17.4. JOINT MEETING OF AUDIT COMMITTEES OF TRUSTEE COMPANY & AMC

The Audit Committee met once during the year on 16.03.2023 as per SEBI Circular no. SEBI/HO/IMD/IMD-I DOF2/P/CIR/2022/17 dated February 09, 2022 which required that the Audit Committee of AMC (SBI Funds Management Limited) would interact with the Audit Committee of the Trustee Company at least once annually.

The attendance of each member at the joint meeting of the Audit Committees of Trustee Company and AMC was as under:

Name of the Director	Director Identification Number (DIN)	Category of Director	Number of meetings attended
AMC - Audit Committee Directors			
Mr. Moiz Miyajiwala	00026258	Independent	1
Ms. Sudha Krishnan	02885630	Independent	1
Mr. Fathi Jerfel	05225974	Associate	None
Dr.T.T Ram Mohan***	00008651	Independent	1
Trustee Company - Audit Committee Directors			
Mr. Dhruv Prakash	05124958	Independent	1
Mr. Achal Kumar Gupta	02192183	Associate	1
Mr. Amarjit Chopra	00043355	Independent	1
Mr. P. B Santhanakrishnan	03213653	Associate	1

17.5. RISK MANAGEMENT COMMITTEE OF DIRECTORS

During the year, 4 meetings of the Risk Management Committee of Directors were held on following dates: April 28, July 25, October 28 of 2022 and February 03 of 2023. The attendance of each member at the meetings of the Risk Management Committee was as under:

Name of the Director	Director Identification Number (DIN)	Category of Director	Number of meetings attended
Mr. Dhruv Prakash	05124958	Independent	4
Mr. Sunil Gulati	00016990	Independent	4
Dr. Archana Hingorani	00028037	Independent	4

7.6. INDEPENDENT DIRECTOR DECLARATION U/S 149 (6)

Section 149(6) of the Companies Act, 2013 is not applicable to a Private Company. However, in terms of SEBI (Mutual Funds) Regulations, 1996, the Company has appointed Independent Directors. All the Independent Directors have submitted the requisite declarations, on a voluntary basis, confirming that they continue to meet the criteria of independence as prescribed under section 149(6) of the Companies Act, 2013 and SEBI (Mutual Fund) Regulations, 1996.

18. DIRECTORS' RESPONSIBILITY STATEMENT PURSUANT TO SECTION 134(5) OF THE COMPANIES ACT, 2013

The Directors hereby confirm that:

- In the preparation of the annual accounts of the Company for the year ended 31st March, 2023, the applicable accounting standards have been followed.
- Reasonable and prudent accounting policies have been selected and applied consistently along with reasonable and prudent judgments and estimates so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and the profit or loss of the Company for that period.
- Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

- d) Internal financial controls in the Company are adequate and operating effectively.
- e) The annual accounts have been prepared on a going concern basis.
- f) The Company has devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

19. KEY MANAGERIAL PERSONNEL

There is no employee covered under Section 197 of the Companies Act, 2013 read with the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. Hence, the provisions are not applicable to the Company.

20. EXTRACT OF ANNUAL RETURN

The details forming part of the extract of the annual return in Form MGT-9 are enclosed as Annexure - I to this Report.

21. MATERIAL ORDERS BY REGULATOR, COURT, TRIBUNALS IMPACTING THE GOING CONCERN AND / COMPANY'S OPERATION

There is no material order by any regulator, court, tribunals which has any significant impact on the going concern status and the Company's operation in future.

22. DETAILS OF FRAUDS REPORTED BY AUDITORS UNDER SECTION 143(12) OF THE COMPANIES ACT, 2013

There was no fraud identified by the Company. The auditors of the Company have also not reported any frauds under section 143(12) of the Companies Act, 2013.

23. MAINTENANCE OF COST RECORDS

Disclosure pertaining to maintenance of cost records as specified by the Central Government under section 148(1) of the Companies Act, 2013 is not applicable to the Company.

24. REPORTING ON THE RECOMMENDATIONS MADE BY THE COMMITTEE ON PAPERS LAID ON THE TABLE (RAJYA SABHA) IN ITS 150TH REPORT:

A) DETAILS OF THE VIGILANCE CASES FOR THE FY 2022-23

Opening Cases	Cases received during 2022-23	Cases Disposed off	Closing Cases
Nil	Nil	Nil	Nil

B) STATUS OF PENDING CAG PARAS AND MANAGEMENT REPLIES

There is no pending CAG Para as on the date of this Report.

25. CODE OF CONDUCT

The Directors confirm that all Board members have affirmed compliance with the Company's Code of Conduct for the financial year 2022-23.

26. PERSONNEL

Employee relations remained cordial during the year. The Directors place on record their appreciation of the dedicated work put in by all the employees.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

27. STATUTORY AUDITORS

The Comptroller and Auditor General of India (CAG) has appointed M/s. S. G. Salecha & Co as the Statutory Auditor of the Company for the year under review, who will retire at the conclusion of the Twentieth Annual General Meeting.

Under Section 142(1) of the Companies Act, 2013, the remuneration of Auditors appointed under Section 139(5) by the CAG is fixed by the Company in the Annual General Meeting.

There were no qualifications, reservations or adverse comments or disclaimers made by the statutory auditor in their audit report.

28. COMPLIANCE OF SECRETARIAL STANDARDS

The Company has complied with applicable Secretarial Standards during the year.

29. ACKNOWLEDGEMENT

The Directors take this opportunity to express their gratitude for the continued support and co-operation extended by the State Bank of India, Amundi, the Registrars & Transfer Agents, the Custodians, the Collecting Banks, Government Agencies, Auditors, SEBI, AMFI, the Board of Directors of SBI Funds Management Limited and market intermediaries.

The Directors also express their gratitude to the large body of investors of various schemes of SBI Mutual Fund for the faith reposed in the Fund House and look forward to their continued patronage.

For and on behalf of the Board of Directors

Place: Mumbai
Date: 09th June, 2023

Sd/-
Achal Kumar Gupta
Director
DIN : 02192183

Sd/-
P. B. Santhanakrishnan
Director
DIN:03213653

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED**ANNEXURE I****Form No. MGT-9
EXTRACT OF ANNUAL RETURN**

as on the financial year ended on March 31, 2023
[Pursuant to Section 92(3) of the Companies Act, 2013 and Rule 12(1) of the
Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

i	CIN	U65991MH2003PTC138496
ii	Registration Date	02/01/2003
iii	Name of the Company	SBI Mutual Fund Trustee Company Private Limited
iv	Category/Sub-Category of the Company	Private Limited Company having Share Capital
v	Address of the Registered office and contact details	9th Floor, Crescenzo, C - 38 & 39, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra Tel. no: 022 61793000; Fax: 022 67425690 Email: vinaya.datar@sbimf.com Website: www.sbimf.com
vi	Whether Listed Company (Yes/No)	No
vii	Name, Address and Contact details of Registrar & Transfer Agents, if any	Datamatics Business Solutions Limited Plot No. B-5, Part b, Cross Rd B, M.I.D.C, Andheri East, Mumbai, Maharashtra 400093

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY:

All the business activities contributing 10% or more of the total turnover of the company shall be stated:

Name and Description of main products / services	NIC Code of the Product/ service	% to total turnover of the company
Trustees to SBI Mutual Fund & Alternative Investment Fund	6619	100

III. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES:

The Company does not have any Holding, Subsidiary or Associate Companies. However, the Company is the wholly owned subsidiary of State Bank of India.

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)**i) Category-wise Shareholding**

Category of Shareholders	No. of shares held at the beginning of the year April 01, 2022				No. of shares held at the end of the year March 31, 2023				% Change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
A. Promoters									
(1) Indian									
a) Individual* / HUF	-	50	50	0.05	-	50	50	0.05	NIL
b) Central Govt	-	-	-	-	-	-	-	-	-
c) State Govt(s)	-	-	-	-	-	-	-	-	-
d) Bodies Corp.	-	-	-	-	-	-	-	-	-
e) Bank / FI	99950	-	99950	99.95	99950	-	99950	99.95	NIL
f) Any Other	-	-	-	-	-	-	-	-	-
Sub-total (A) (1):-	99950	50	100000	100.00	99950	50	100000	100.00	NIL
(2) Foreign									
a) NRIs - Individuals	-	-	-	-	-	-	-	-	-
b) Other – Individuals	-	-	-	-	-	-	-	-	-
c) Bodies Corp.	-	-	-	-	-	-	-	-	-

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

Category of Shareholders	No. of shares held at the beginning of the year April 01, 2022				No. of shares held at the end of the year March 31, 2023				% Change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
d) Banks / FI	-	-	-	-	-	-	-	-	-
e) Any Other	-	-	-	-	-	-	-	-	-
Sub-total (A) (2)	-	-	-	-	-	-	-	-	-
Total Shareholding of Promoter (A) = (A)(1) + (A)(2)	-	-	-	-	-	-	-	-	-
B. Public Shareholding									
1.Institutions									
a) Mutual Funds	-	-	-	-	-	-	-	-	-
b) Banks / FI	-	-	-	-	-	-	-	-	-
c) Central Govt.	-	-	-	-	-	-	-	-	-
d) State Govt.(s)	-	-	-	-	-	-	-	-	-
e) Venture Capital Funds	-	-	-	-	-	-	-	-	-
f) Insurance Companies	-	-	-	-	-	-	-	-	-
g) FIs	-	-	-	-	-	-	-	-	-
h) Foreign Venture Capital Funds	-	-	-	-	-	-	-	-	-
i) Others (spec-ify)	-	-	-	-	-	-	-	-	-
Sub- total (B) (1)	-	-	-	-	-	-	-	-	-
2.Non-Institutions									
a) Bodies Corp.	-	-	-	-	-	-	-	-	-
i) Indian	-	-	-	-	-	-	-	-	-
ii) Overseas	-	-	-	-	-	-	-	-	-
b) Individuals	-	-	-	-	-	-	-	-	-
i) Individual shareholders holding nominal share capital upto Rs. 1 Lakh	-	-	-	-	-	-	-	-	-
ii) Individual shareholders holding nominal share capital in excess of Rs. 1 Lakh	-	-	-	-	-	-	-	-	-
c) Others (specify)	-	-	-	-	-	-	-	-	-
Sub-total (B)(2):-	-	-	-	-	-	-	-	-	-
Total Public Shareholding (B) = (B)(1) + (B)(2)	-	-	-	-	-	-	-	-	-
C. Shares held by Custodian for GDR's & ADR's	-	-	-	-	-	-	-	-	-
Grand Total (A+B+C)	99950	50	100000	100.00	99950	50	100000	100.00	NIL

*State Bank of India is the beneficial holder of these shares

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

ii) Shareholding of Promoters:

SI No.	Shareholder's Name	Shareholding at the beginning of the year April 01, 2022			Shareholding at the end of the year March 31, 2023			% change in Shareholding during the year
		No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	% of Shares Pledge/ encumbered to total shares	
1	State Bank of India	99950	99.95	NA	99950	99.95	NA	NIL
2	Shri Mihir N. P. Mishra	25*	0.025	NA	25*	0.025	NA	NIL
3	Shri Vinay M. Tonse	25*	0.025	NA	25*	0.025	NA	NIL
	Total	100000	100.00	NA	100000	100.00	NA	NIL

*State Bank of India is the beneficial holder of these shares

iii) Change in Promoters' Shareholding:

There is no change in promoters' Shareholding during the financial year.

iv) Shareholding Pattern of top ten Shareholders (other than Directors, Promoters and Holders of GDRs and ADRs):

NOT APPLICABLE

v) Shareholding of Directors and Key Managerial Personnel:

NOT APPLICABLE

V. INDEBTNESS – NIL

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

NOT APPLICABLE

B. Remuneration to others directors

I. Independent Directors:

SI. No.	Particulars of Remuneration	Name of Directors				Total Amount (Rs in Lakh)
		Mr. Dhruv Prakash	Mr. Sunil Gulati	Mr. Amarjit Chopra	Dr. Archana Hingorani	
1	Fee for attending Board / Commit-tee meetings	10.30	7.50	8.70	7.50	34.00
2	Commission	--	--	--	--	--
3	Others	--	--	--	--	--
	Total (I) (Rs. in Lakh)	10.30	7.50	8.70	7.50	34.00

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED**II. Other Non-Executive Directors:**

Sl. No.	Particulars of Remuneration	Name of Directors			Total Amount (Rs in Lakh)
		Mr. Richard Mendonca \$	Mr. Achal Kumar Gupta	P.B. Santhanakrishnan @	
1	Fee for attending Board / Committee meetings	1.10	8.70	3.60	13.40
2	Commission	--	--	--	--
3	Others	--	--	--	--
	Total (2)	1.10	8.70	3.60	13.40
	Total (B)=(1+2) (Rs. in Lakh)				47.40
	Total Managerial Remuneration				
	Overall Ceiling as per the Act	--			

(\$) Richard Mendonca had ceased to be Director from the close of business hours on April 28, 2022

(@) Mr. Pillappakkam Santhanakrishnan Bahukutumbi was appointed as Non Executive Director (Associate) w.e.f. October 18, 2022/

Since the Company is a Private Limited Company, the provision of Independent Directors does not apply. However, in terms of SEBI (Mutual Funds) Regulations, 1996, the Company has appointed Independent Directors and sitting fees are paid to these Directors for attending Board & Committee Meetings.

C. Remuneration to Key Managerial Personnel other than MD/Manager/WT

NOT APPLICABLE

VII. PENALTIES/ PUNISHMENT/ COMPOUNDING OF OFFENCES:

There were no penalties / punishment / compounding of offences during the year ending March 31, 2023.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

INDEPENDENT AUDITOR'S REPORT

To the Members of
SBI Mutual Fund Trustee Company Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of **SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED** ("the Company") which comprise the Balance Sheet as at March 31, 2023 and the Statement of Profit and Loss and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as the "financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, and its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors ("the Board") is responsible for the other information. The other information comprises the information included in the Director's Report but does not include the financial statements and our auditor's report thereon. The other information is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Management's Responsibility for the Financial Statements

The Company's Board is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

In preparing the financial statements, the Board is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing ("SAs") will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board.
- Conclude on the appropriateness of the Board use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the **Annexure - A**, a statement on the matters specified in paragraphs 3 and 4 of the Order to the extent applicable.
2. (A) As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

- (c) The Balance Sheet, the Statement of Profit and Loss and Cash Flow Statement dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2023 taken on record by the Board, none of the directors is disqualified as on 31st March, 2023 from being appointed as a director in terms of Section 164(2) of the Act.
 - (f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in **Annexure - B**. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
- (B) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014 in our opinion and to the best of our information and according to the explanations given to us:
- (a) The Company does not have any pending litigations which would impact its financial position.
 - (b) The Company does not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - (c) There are no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - (d)
 - (i) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
 - (ii) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Funding Party or provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries.
 - (iii) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (d) (i) and (d) (ii) contain any material misstatement.
 - (e) The Company has not declared or paid dividend during the year under audit.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

3. As required by Section 143(5) of the Companies Act, 2013 and in accordance with the directions issued by the Comptroller and Auditor-General of India we report on the matters specified in clauses I, II & III of the revised directions as under.

SR. NO.	REVISED DIRECTIONS	SPECIFIC COMMENT ON REVISED DIRECTION
I	Whether the company has system in place to process all the accounting transactions through IT System? If Yes, the implications of processing of accounting transaction outside IT system on the integrity of the accounts along with the financial implication, if any may be stated?	The Company has a system in place to process all the accounting transactions through IT system. According to the information and explanations given to us, and on the basis of our examination there are no accounting transactions processed outside IT system impacting the integrity of the accounts.
II	Whether there is any re-structuring of an existing loan or cases of waiver/write off of debts /loans /interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a Government Company, then its direction is also applicable for the statutory auditor of lender company).	According to the information and explanations given to us, and on the basis of our examination of the records of the Company, we report that there are no cases of waiver/write off of Debts/ loans/interest due to the Company's inability to repay.
III	Whether funds (grants/subsidy, etc) received /receivable for specific schemes from Central/State Government or its agencies were properly accounted for / utilized as per its terms and conditions? List the cases of deviation.	According to the information and explanation given to us, and on the basis of our examination of the records of the Company, there are no funds (grants / subsidy, etc) received / receivable for specific schemes from Central/State Government or its agencies and as such there is no deviation.

For S. G. Salecha & CO.
CHARTERED ACCOUNTANTS
FIRM REG. NO. 108986W

Place of Signature: Mumbai
Date: 28 April 2023

Sd/-
DHARAMRAJ D SINGH
(PARTNER)
Membership No.146179
UDIN NO.: 23146179BGWXVK4911

ANNEXURE “A” TO THE INDEPENDENT AUDITORS REPORT

Annexure referred to in paragraph 1 under ‘Report on Other Legal and Regulatory Requirements’ of our report of even date to the members of SBI Mutual Fund Trustee Company Private Limited (“the Company”) on the Financial Statements as of and for the year ended 31st March 2023

- (i) The Company does not own any Property, Plant and Equipments during the financial year under review. Accordingly, reporting under clause 3(i)(a) to (e) of the Order is not applicable to the Company.
- (ii) Since the Company is a service provider primarily rendering Trusteeship services, it does not hold any physical inventories and hence, clause 3(ii) of the Order is not applicable to the Company.
- (iii) The Company has not made any investments or granted any loans, secured or unsecured to companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under Section 189 of the Companies Act, 2013. Hence, clause 3(iii)(a) to (f) of the Order is not applicable to the Company.
- (iv) The Company has not given any loans, guarantees or securities in respect of provisions of Sections 185 and 186 of Companies Act, 2013. Further, in respect of investments made, the Company has complied with the provisions of Section 186 of the Companies Act, 2013.
- (v) In our opinion, the Company has not accepted deposits within the meaning of Sections 73 to 76 of the Act or any other relevant provisions of the Companies Act, 2013 and the rules framed there under. Hence clause 3(v) of the Order is not applicable to the Company.
- (vi) The Central Government of India has not specified the maintenance of Cost records under Section 148(1) of Companies Act, 2013 for any of the services rendered by the Company.
- (vii) (a) According to the information and explanations given to us and the records examined by us, the Company is regular in depositing undisputed statutory dues, including provident fund, employees’ state insurance, income-tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, Goods and Service Tax and other statutory dues applicable to the Company with appropriate authorities.

According to the information and explanations given to us, no undisputed amounts payable in respect of provident fund, employees’ state insurance, income-tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, Goods and Service Tax and any other material statutory dues applicable to the Company, were outstanding as on the last day of the financial year, for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us, there are no dues outstanding in respect of income tax or sales tax or service tax or duty of customs or duty of excise or value added tax which have not been deposited on account of any dispute.
- (viii) In our opinion and according to the information and explanations given to us, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of accounts, in the tax assessments under the Income Tax Act, 1961 as income during the year.
- (ix) The Company has not taken any loans or borrowings from financial institutions, banks and government or has not issued any debentures. Hence, reporting under clause 3(ix) of the Order is not applicable to the Company.
- (x) The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) or term loans and hence, reporting under clause 3(x) of the Order is not applicable to the Company.
- (xi) According to the information and explanations given to us, no fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.
- (xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, clause 3(xii) of the Order is not applicable to the Company.
- (xiii) According to the information and explanations given to us and based on our examination of the records of the Company, all transactions entered into by the Company with the related parties are in compliance with Sections 177 and 188 of Companies Act, 2013 where applicable, and details of such transactions have been disclosed in the financial statements, as required by the applicable Accounting Standards.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

- (xiv) (a) In our opinion, the Company has an internal audit system commensurate with its size and nature of its business.
(b) We have considered, during the course of our audit, the reports of the Internal Auditor for the period under audit.
- (xv) According to the information and explanations given to us and based on our examination of the records, the Company has not entered during the year into any non-cash transactions with its directors or persons connected with them and hence, clause 3(xv) of the Order is not applicable to the Company.
- (xvi) According to the information and explanations given to us, the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi) of the Order is not applicable to the Company.
- (xvii) According to the information and explanations given to us, the Company has not incurred cash losses in the financial year and in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditor of the Company during the year and hence, clause 3(xviii) of the Order is not applicable to the Company.
- (xix) In our opinion and according to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans, we are of the opinion that no material uncertainty exists as on the date of the audit report and that the Company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.
- (xx) The requirements as stipulated by the provisions of Section 135 are not applicable to the Company. Accordingly, clause 3(xx) of the Order is not applicable.
- (xxi) In our opinion, the Company is not required to prepare consolidated financial statements and hence, reporting under clause 3 (xxi) of the Order is not applicable to the Company.

For S. G. Salecha & CO.
CHARTERED ACCOUNTANTS
FIRM REG. NO. 108986W

Place of Signature: Mumbai
Date: 28 April 2023

Sd/-
DHARAMRAJ D SINGH
(PARTNER)
Membership No.146179
UDIN NO.: 23146179BGWXVK4911

ANNEXURE “B” TO THE INDEPENDENT AUDITORS REPORT

Annexure referred to in paragraph 2 under ‘Report on Other Legal and Regulatory Requirements’ of our report of even date

Report on the Internal Financial Controls under Clause (i) of sub-section (3) of Section 143 of the Companies Act, 2013

We have audited the internal financial controls over financial reporting of **SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED**, (“the Company”) as of March 31, 2023 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s Board of Directors is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the “Guidance Note”). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company’s internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company’s internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company’s internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company’s internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company’s assets that could have a material effect on the financial statements.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note.

For S. G. Salecha & CO.
CHARTERED ACCOUNTANTS
FIRM REG. NO. 108986W

Place of Signature: Mumbai
Date: 28 April 2023

Sd/-
DHARAMRAJ D SINGH
(PARTNER)
Membership No.146179
UDIN NO.: 23146179BGWXVK4911

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL STATEMENTS OF SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED FOR THE YEAR ENDED 31 MARCH 2023

The preparation of financial statements of SBI Mutual Fund Trustee Company Private Limited for the year ended 31 March 2023 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 28 April 2023.

The assets under management through various schemes managed by SBI Mutual Fund Trustee Company Private Limited are not reflected in its Balance Sheet, since these assets do not form part of the SBI Mutual Fund Trustee Company Private Limited. Therefore, I do not look into operation of these schemes including decision making regarding acquisition, management and disposal of the assets managed by the SBI Mutual Fund Trustee Company Private Limited and express no opinion on the soundness of the investments.

I, on behalf of the Comptroller and Auditor General of India, have decided not to conduct the supplementary audit of the financial statements of SBI Mutual Fund Trustee Company Private Limited for the year ended 31 March 2023 under section 143(6)(a) of the Act.

**For and on the behalf of the
Comptroller and Auditor General of India**

Sd/-
(Guljari Lal)
Director of Audit (Shipping), Mumbai

Place : Mumbai
Date : 24.05.2023

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED
BALANCE SHEET AS AT MARCH 31, 2023

(₹ in Lakhs)

Particulars	Note	As at 31-Mar-23	As at 31-Mar-22
I. EQUITY AND LIABILITIES			
1 SHAREHOLDERS' FUNDS			
(a) Share Capital	2.1	10.00	10.00
(b) Reserves and Surplus	2.2	4,039.19	3,943.06
		4,049.19	3,953.06
2 NON-CURRENT LIABILITIES			
(a) Long Term Provisions	2.3	9.15	5.79
		9.15	5.79
3 CURRENT LIABILITIES			
(a) Trade Payables	2.4	3.99	2.02
(b) Other Current Liabilities	2.5	12.86	4.05
		16.85	6.07
TOTAL EQUITY AND LIABILITIES		4,075.19	3,964.92
II. ASSETS			
1 NON-CURRENT ASSETS			
(a) Non-current Investments	2.6	1,847.30	1,847.30
(b) Deferred Tax Assets (net)	2.7	2.54	1.61
(c) Long Term Loans & Advances	2.8	9.54	5.57
		1,859.38	1,854.48
2 CURRENT ASSETS			
(a) Current Investments	2.9	2,184.27	2,078.27
(b) Trade Receivables	2.10	27.52	24.79
(c) Cash and Cash Equivalents	2.11	3.80	7.38
(d) Other Current Assets	2.12	0.22	-
		2,215.81	2,110.44
TOTAL		4,075.19	3,964.92

See summary of Significant Accounting Policies and accompanying notes which form an integral part of the financial statements.

As per our report of even date

For S. G. SALECHA & Co.
Chartered Accountants
Firm Regn. No. 108986W

Sd/-
Dharamraj D Singh
Partner
M. No.146179

For and on behalf of the Board of Directors

Sd/-
Achal Kumar Gupta
Director
DIN: 02192183

Sd/-
P. B. Santhanakrishnan
Director
DIN: 03213653

Sd/-
Inderjeet Ghuliani
Chief Financial Officer
(SBI Funds Management Limited)

Place: Mumbai
Dated: April 28, 2023

Dated: April 28, 2023

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2023

(₹ in Lakhs)

Particulars	Note	For the year ended 31-Mar-23	For the year ended 31-Mar-22
I Revenue from Operations	2.13	282.10	245.48
II Other Income	2.14	6.00	404.79
III Total Income (I + II)		288.10	650.27
IV Expenses			
(1) Employee Benefit Expense	2.15	46.48	26.71
(2) Other Expenses	2.16	127.66	71.75
Total Expenses		174.14	98.46
V Profit Before Exceptional & Extra-ordinary Items and Tax (III - IV)		113.96	551.81
VI Exceptional items		-	-
VII Profit before Extra-ordinary Items and Tax (V - VI)		113.96	551.81
VIII Extra-ordinary items		-	-
IX Profit Before Tax (VII - VIII)		113.96	551.81
X Tax Expense			
(1) Current Tax		33.21	92.14
(2) Deferred Tax		(0.93)	(1.61)
(3) MAT Credit utilised against current year tax liability		(14.19)	-
(4) Short / (Excess) Provision of Past Years		(0.26)	-
Total Tax Expense		17.83	90.53
XI Profit for the period (IX - X)		96.13	461.28
XII Earnings per equity share of ₹ 10 each	4		
(1) Basic		96.13	461.28
(2) Diluted		96.13	461.28

See summary of Significant Accounting Policies and accompanying notes which form an integral part of the financial statements.

As per our report of even date

For S. G. SALECHA & Co.
Chartered Accountants
Firm Regn. No. 108986W

Sd/-
Dharamraj D Singh
Partner
M. No.146179

For and on behalf of the Board of Directors

Sd/-
Achal Kumar Gupta
Director
DIN: 02192183

Sd/-
P. B. Santhanakrishnan
Director
DIN: 03213653

Sd/-
Inderjeet Ghuliani
Chief Financial Officer
(SBI Funds Management Limited)

Place: Mumbai
Dated: April 28, 2023

Dated: April 28, 2023

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED
CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2023

(₹ in Lakhs)

Particulars	For the period ended	
	31-Mar-23	31-Mar-22
Cash flow from operating activities		
Net Profit Before Taxation	113.96	551.81
Less:		
Provision for Gratuity	1.51	1.01
Provision for Leave Encashment	1.85	2.52
Interest on Income Tax Refund	-	(0.78)
Profit on sale of current investments	(6.00)	(404.01)
Operating profit before working capital changes	111.32	150.55
Decrease/(Increase) in Trade Receivables	(2.73)	19.76
Decrease/(Increase) in other Current Assets	(0.22)	-
Increase/(Decrease) in Trade Payables & other Current Liabilities	10.78	(1.85)
Cash generated from operations	119.15	168.46
Income taxes paid	(22.73)	(84.04)
A. CASH FLOW FROM OPERATING ACTIVITIES	96.42	84.42
Cash flow from investing activities		
Purchase of non-current investments	-	(489.97)
Purchase of current investments	(191.00)	(1,714.88)
Proceeds from sale/redemption of current investments	91.00	2,123.70
B. CASH FLOW FROM INVESTING ACTIVITIES	(100.00)	(81.15)
Increase in Share capital / Dividends paid	-	-
C. CASH FLOW FROM FINANCING ACTIVITIES	-	-
Net Increase in Cash and Cash Equivalents (A + B + C)	(3.58)	3.27
D. CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	7.38	4.11
E. CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	3.80	7.38
Components of Cash and Cash Equivalents		
Balance with bank in current account	3.80	7.38

Note: The above Cash Flow Statement has been prepared under the 'Indirect Method' as set out in AS 3 'Cash Flow Statements'. See summary of Significant Accounting Policies and accompanying notes which form an integral part of the financial statements.

As per our report of even date

For S. G. SALECHA & Co.
Chartered Accountants
Firm Regn. No. 108986W

Sd/-
Dharamraj D Singh
Partner
M. No.146179

Place: Mumbai
Dated: April 28, 2023

For and on behalf of the Board of Directors

Sd/-
Achal Kumar Gupta
Director
DIN: 02192183

Sd/-
P. B. Santhanakrishnan
Director
DIN: 03213653

Sd/-
Inderjeet Ghuliani
Chief Financial Officer
(SBI Funds Management Limited)

Dated: April 28, 2023

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

1 Significant Accounting Policies

Background:

SBI Mutual Fund Trustee Company Private Limited ('the Company') was incorporated on 2nd January 2003 under the Companies Act, 1956 as a wholly owned subsidiary of State Bank of India (SBI).

The Company is appointed as the Trustee to SBI Mutual Fund ('the Fund') vide the Restated and Amended Trust Deed dated December 29, 2004, to supervise the activities of the Fund, upon approval granted by Securities and Exchange Board of India ('SEBI') under SEBI (Mutual Funds) Regulations, 1996. The Company also provides Trusteeship services to various Category II and Category III Alternative Investment Funds (AIFs) floated by SBI Funds Management Limited.

1.1. Basis of preparation:

The accounting and reporting policies of the Company conform to Generally Accepted Accounting Principles in India (Indian GAAP). These financial statements comply in all material respects with mandatory accounting standards as specified under section 133 of the Companies Act, 2013 and rules made thereunder as applicable to the Company. These financial statements have been prepared and presented under the historical cost convention, with fundamental accounting assumptions of going concern, consistency and accrual, unless otherwise stated.

1.2. Use of Estimates:

The preparation of financial statements in conformity with the generally accepted accounting principles requires the management to make estimates and assumptions that are considered in the reported amounts of assets and liabilities (including contingent liabilities) as on the date of the financial statements and the reported income and expenses during the reported period. The management believes that the estimates and assumptions used in the preparation of the financial statements are prudent and reasonable.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

1.3. Presentation of Financial Statements:

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of the services and the time between the provision of services and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current and non-current classification of assets and liabilities.

Assets

An asset shall be classified as current when it satisfies any of the following criteria:

- a) it is expected to be realized in, or is intended for sale or consumption in, the Company's normal operating cycle;
 - b) it is expected to be realized within twelve months after the reporting date; or
 - c) it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date. Current assets include current portion of non-current financial assets.
- All other assets shall be classified as non-current.

Liabilities

A liability shall be classified as current when it satisfies any of the following criteria:

- a) it is expected to be settled in the Company's normal operating cycle;
 - b) it is due to be settled within twelve months after the reporting date; or
 - c) the Company does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date. Current liabilities include current portion of non-current financial liabilities.
- All other liabilities shall be classified as non-current.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

1.4. Investments:

Investments which are readily realizable and are intended to be held for not more than twelve months from the Balance Sheet date are classified as current investments. All other investments are classified as Non-Current investments. Current investments are carried at cost or fair value, whichever is lower. Non-Current investments are carried at cost. However, provision for diminution is made to recognize a decline, other than temporary, in the value of investments, such reduction being determined and made for each investment individually.

Purchase and sale of investments are recorded on trade date.

1.5 Cash and Cash Equivalents:

Cash and Cash Equivalents comprise of cash in hand, bank balances and other short-term highly liquid investments with original maturities of 3 months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

1.6 Revenue Recognition:

- (a) Trusteeship fee is recognised on accrual basis at specific rates agreed with the relevant schemes and approved by the Board of Directors of the Company, applied on the percentage of daily net assets of each scheme, and is in conformity with the limits specified under SEBI (Mutual Funds) Regulations, 1996.
- (b) Gains and losses on sale/redemption of investments are determined using the weighted average cost method.
- (c) Dividend income is recognised when the right to receive the same is established.
- (d) Interest on income-tax refund is accounted on receipt basis.

1.7. Employee Benefits:

(i) Defined Contribution Plan:

The Company has defined contribution plans for post-employment benefits in the form of Provident Fund, wherein the Company contributes to Government administered Statutory Provident Fund on behalf of employees. The Company has no further obligation beyond making the said contribution. The Company's contribution to Statutory Provident Fund is charged to the Statement of Profit and Loss.

(ii) Defined Benefit Plans:

Gratuity: The Company's gratuity scheme is a defined benefit plan, wherein the Company's gratuity obligation is calculated by estimating the amount of future benefit that the employees have earned in return for their service in the current period. The gratuity obligation is determined for every completed year of service or part thereof in excess of 6 months considering last drawn basic salary x 15/26, and charged to the Statement of Profit and Loss on accrual basis at the end of each financial year.

Leave Encashment: The employees are entitled to accumulate leave subject to certain limits for future encashment. The Leave Encashment liability is a defined benefit obligation determined based on gross salary and is charged to the Statement of Profit and Loss on accrual basis at the end of each financial year.

1.8. Provisions, Contingent Liabilities and Contingent Assets:

A provision is recognized when the Company has a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made. Provisions are not discounted to their present value and are determined based on best estimate required to settle the obligation at the balance sheet date, supplemented by experience of similar transactions. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

Provision in respect of loss contingencies relating to claims, litigation, assessment, fines, penalties, etc. are recognised when it is probable that a liability has been incurred, and the amount can be estimated reliably.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured with sufficient reliability. The Company does not recognize a contingent liability but discloses its existence in the financial statements unless the possibility of an outflow of economic resources is considered remote.

Contingent assets are not recognised in financial statements since this may result in the recognition of income that may never be realised. However, when the realisation of income is virtually certain, then the related asset is not a contingent asset and is recognised.

Provisions, contingent liabilities and contingent assets are reviewed at each balance sheet date.

1.9. Taxes on Income:

Income tax expense comprises of current and deferred tax. Current Tax is measured on the basis of estimated taxable income for the current accounting period in accordance with the applicable tax rates and the provisions of the Income-tax Act, 1961. Tax assets and tax liabilities are offset only if there is a legally enforceable right to set off the recognized amounts, and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

Deferred tax assets and liabilities are recognised for future tax consequences attributable for timing differences between carrying amounts of existing assets and liabilities in the financial statements and their respective tax base. Deferred tax assets and liabilities are measured using tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date. Deferred tax assets are recognized only to the extent there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realized. Deferred tax assets are recognized on carried forward tax losses and unabsorbed depreciation only if there is virtual certainty supported by convincing evidence that such deferred tax assets can be realized against future taxable income. Deferred tax assets, unrecognized or recognized, are re-assessed at each balance sheet date and are recognized / reduced to the extent that it is reasonably certain / no longer reasonably certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realized.

Minimum Alternate Tax (MAT) Credit entitlement is recognised where there is convincing evidence that the same can be realised in future.

1.10. Earnings Per Share:

The Basic Earnings Per Share is calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period. Diluted Earnings Per Share is calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period adjusted for effects of all dilutive potential equity shares.

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

2.1 EQUITY SHARE CAPITAL

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Authorized Capital :		
1,00,000 (PY:1,00,000) Equity Shares of ₹10/- each	10.00	10.00
	10.00	10.00
ISSUED, SUBSCRIBED & FULLY PAID UP		
1,00,000 (PY:1,00,000) Equity Shares of ₹10/- each fully paid up	10.00	10.00
	10.00	10.00

a. Details of Shareholding as at March 31, 2023

Equity Shares held by:

1,00,000 shares (PY: 1,00,000) are held by State Bank of India, the Company's holding entity, and its nominees since the incorporation of the Company. Any transfer of shares shall take effect only by the approval of the Board of Directors of the Company.

b. Reconciliation of the number of Equity Shares outstanding

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Number of Shares at the beginning of the year	1,00,000	1,00,000
Add: Shares issued	-	-
Less: Shares Forfeited	-	-
Number of Shares at the end of the year	1,00,000	1,00,000

c. Each Equity Share is entitled to one voting right only.

2.2 RESERVES AND SURPLUS

a. Surplus as per Statement of Profit and Loss

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Net Profit after Tax	96.13	461.28
Balance brought forward	3,943.06	3,481.78
Profit Available for Appropriation	4,039.19	3,943.06
APPROPRIATIONS:		
Surplus Carried to Balance Sheet	4,039.19	3,943.06

2.3 LONG TERM PROVISIONS

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
<u>Provision for Employee Benefits</u>		
Provision for Gratuity	4.78	3.27
Provision for Leave Encashment	4.37	2.52
Total	9.15	5.79

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

2.4 TRADE PAYABLES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Trade Payables		
Dues to Micro, Small & Medium Enterprises (MSME)	-	-
Other than MSME	3.99	2.02
Total	3.99	2.02

Trade Payables - Ageing Schedule

(₹ in Lakhs)

Particulars	Outstanding for following periods from due date of payment				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	-	-	-	-
(ii) Others CY	3.99	-	-	-	3.99
*includes provisions also PY	2.02	-	-	-	2.02
(iii) Disputed Dues - MSME	-	-	-	-	-
(iv) Disputed Dues - Others	-	-	-	-	-

2.5 OTHER CURRENT LIABILITIES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Statutory Dues:		
TDS & Profession Tax Payable	1.71	1.50
Staff Payable	8.50	-
GST Payable (net)	2.65	2.55
Total	12.86	4.05

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

2.6 NON CURRENT INVESTMENTS

(₹ in Lakhs)

Particulars	No. of units	As at 31-Mar-2023	No. of units	As at 31-Mar-2022
A Unquoted Investments				
I. Investment in Equity Instruments (At Cost)				
Equity shares of SBI Foundation (each share of ₹ 10 fully paid up)	1,000	0.10	1,000	0.10
II. Investments in Mutual Funds (At Cost)				
SBI Treasury Advantage Fund - Growth**	1,589	27.50	1,589	27.50
SBI Conservative Hybrid Fund - Direct - Growth *	9,20,558	489.97	9,20,558	489.97
SBI Arbitrage Opportunities Fund - Dividend *	51,76,175	729.92	51,76,175	729.92
SBI Short Term Debt Fund - Direct - Growth *	24,23,220	470.81	24,23,220	470.81
SBI Corp Bond Fund - Direct - Growth *	11,65,114	129.00	11,65,114	129.00
		1,847.30		1,847.30
* Face value of each Unit is ₹ 10/-				
** Face value of each Unit is ₹ 1,000/-				
a) Aggregate Value of unquoted investments in Equity Instruments (At Cost)		0.10		0.10
b) Aggregate NAV of unquoted investments in Mutual Funds		2,293.40		2,175.37
c) Aggregate provision for diminution in value of investments		Nil		Nil

2.7 DEFERRED TAX ASSET

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Provision for Gratuity	1.33	0.91
Provision for Leave Encashment	1.21	0.70
Total	2.54	1.61

2.8 LONG TERM LOANS & ADVANCES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Advance Tax (Net)	9.54	5.57
Total	9.54	5.57

2.9 CURRENT INVESTMENTS

(₹ in Lakhs)

Particulars	No. of units	As at 31-Mar-2023	No. of units	As at 31-Mar-2022
I. Investments in Mutual Funds (At Cost)				
Investment in Schemes of SBI Mutual Fund				
SBI Magnum Ultra Short Fund - Direct - Growth **	36,307	1,708.67	36,307	1,708.67
SBI Liquid Fund - Direct - Growth **	14,633	475.60	11,673	369.60
Total Current Investments		2,184.27		2,078.27
** Face value of each Unit is ₹ 1,000/-				
a) Aggregate NAV of unquoted investments in Mutual Funds		2,388.46		2,167.08
b) Aggregate provision for diminution in value of investments		Nil		Nil

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023
2.10 TRADE RECEIVABLES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Unsecured, Considered good		
- Outstanding for a period exceeding six months from the date its due	-	-
- Others	27.52	24.79
Total	27.52	24.79

Trade Receivables - Ageing Schedule

(₹ in Lakhs)

Particulars		Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed Trade Receivables – considered good	CY	27.52	-	-	-	-	27.52
	PY	24.79	-	-	-	-	24.79
(ii) Undisputed Trade Receivables – considered doubtful		-	-	-	-	-	-
(iii) Disputed Trade Receivables – considered good		-	-	-	-	-	-
(iv) Disputed Trade Receivables – considered doubtful		-	-	-	-	-	-

2.11 CASH AND CASH EQUIVALENTS

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Balance with Bank		
Balance with Bank in Current Account	3.80	7.38
Total	3.80	7.38

2.12 OTHER CURRENT ASSETS

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Other receivables	0.22	-
Total	0.22	-

2.13 REVENUE FROM OPERATIONS

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Trusteeship Fees	282.10	245.48
Total	282.10	245.48

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

2.14 OTHER INCOME

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Net gain on redemption of investments in Mutual Funds	6.00	404.01
Interest on Income Tax Refund	-	0.78
Total	6.00	404.79

2.15 EMPLOYEE BENEFIT EXPENSES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Salaries and allowances *	41.73	22.10
Leave salary	1.85	2.52
Contribution to provident fund	1.39	1.08
Provision for gratuity	1.51	1.01
Total	46.48	26.71

(*) Including staff payable of previous year of Rs.6.16 lakhs)

2.16 OTHER EXPENSES

(₹ in Lakhs)

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Administrative & Establishment Cost	30.00	30.00
Directors Sitting Fees	47.40	36.00
Travelling, Lodging & Boarding	44.16	-
Legal and Professional Fees	2.99	2.65
<u>Payment to Auditors</u>		
Audit Fee	0.85	0.75
Other matters	0.50	0.47
Miscellaneous Expenses	1.76	1.88
Total	127.66	71.75

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED**NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023****3. EMPLOYEE BENEFITS**

In accordance with the Accounting Standard on "Employee Benefits" (AS-15) (Revised 2005), the Company has provided the following benefits to its employees which are charged to the Statement of Profit and Loss under the head 'Employee Benefit Expenses':

(₹ in Lakhs)

Particulars	31-Mar-2023	31-Mar-2022
Contribution to Provident Fund	1.39	1.08
Liability for Gratuity	1.51	1.01
Liability for Leave Encashment	1.85	2.52

4. Earnings Per Share (E.P.S.)

EPS is computed in accordance with the AS-20 'Earnings Per Share'. The numerators and denominators used to calculate the Basic and Diluted EPS are given below:

Particulars	31-Mar-2023	31-Mar-2022
Net Profit attributable to Equity Shareholders (A) (₹ in lakhs)	96.13	461.28
Weighted Average Number of Shares (Nos.) (B)	1,00,000	1,00,000
Basic and Diluted Earnings Per Share (A/B) (₹ per share)	96.13	461.28
Nominal Value per Share	10.00	10.00

The Company does not have any potential equity shares and, accordingly, the Basic and Diluted EPS are the same.

5. Contingent Liabilities & Capital Commitments: Nil (PY: Nil)**6. SEGMENTAL REPORTING:**

The Company is in the business of providing Trusteeship services to schemes floated by SBI Mutual Fund and various Category II and Category III AIFs. The Company is engaged in only one business segment and its operations are carried out entirely in Mumbai, India. Hence, there are no separate reportable segments as per AS-17 'Segment Reporting'.

7. RELATED PARTY DISCLOSURE:

Holding Company	State Bank of India holds 100% of the share capital
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Other Related parties with whom transacted:

Fellow Subsidiaries	SBI Funds Management Limited SBI Foundation
Mutual Fund and Alternate Investment Fund (AIF), for which the Company is the Trustee	SBI Mutual Fund SBI Alternative Debt Fund (Cat-II AIF) SBI Alternative Equity Fund (Cat-III AIF) SBI Resurgent India Opportunity Fund SBI Investment Opportunities Fund (IFSC) (Cat-III AIF)

Key Managerial Personnel:

Director	Dhruv Prakash Sunil Satyapal Gulati Archana Niranjana Hingorani Achal Kumar Gupta Amarjit Chopra Pillappakkam Santhanakrishnan Bahukutumbi (from 18.10.2022) Richard Mendonca (up to 28.04.2022)
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SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

List of transactions with related parties:

(₹ in Lakhs)

Nature of Transaction	Holding Company	Fellow Subsidiaries	Mutual Fund & AIF for which the Company is a Trustee	Directors
Administrative & Establishment Expenses	-	30.00 (30.00)	-	-
Reimbursement of Expenses	-	0.13	-	-
Trusteeship Fees	-	-	282.10 (245.48)	-
Purchase of investments	-	-	191.00 (2,204.85)	-
Sale / Redemption of investments	-	-	91.00 (2,123.70)	-
Balance in current account	3.80 (7.38)	-	-	-
Sundry Debtors	-	-	27.52 (24.79)	-
Bank Charges	0.01 (0.01)	-	-	-
Sitting Fees	-	-	-	47.40 (36.00)

Note: Figures in the brackets represent previous year figures.

The Company has maintained bank account with State Bank of India (SBI), which is operated in the ordinary course of business. Inflows and outflows routed through such bank account are not considered as transactions with related party (SBI) and hence, have not been disclosed above.

8. DUES TO MICRO, SMALL AND MEDIUM ENTERPRISES

Trade payables and other current liabilities do not include any amount payable to Micro, Small and Medium Enterprises. Under the Micro, Small and Medium Enterprises Development Act, 2006, (MSMEDA) which came into force from October 02, 2006, certain disclosures are required to be made relating to Micro, Small and Medium Enterprises. On the basis of the information and records available with the management, the following disclosures are made for the amounts due to the Micro, Small and Medium Enterprises, who have registered with the competent authorities.

Particulars	Year ended 31-Mar-2023	Year ended 31-Mar-2022
Principal amount remaining unpaid to any supplier as at the year end	Nil	Nil
Interest due thereon	Nil	Nil
Amount of interest paid by the company in terms of section 16 of the MSMEDA, along with the amount of the payment made to the supplier beyond the appointed day during the accounting year	Nil	Nil
Amount of interest due and payable for the year of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMEDA	Nil	Nil
Amount of interest accrued and remaining unpaid at the end of the accounting year	Nil	Nil
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	Nil	Nil

SBI MUTUAL FUND TRUSTEE COMPANY PRIVATE LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

9. Expenditure in Foreign Currency: Nil (PY: Nil).

10. Earnings in Foreign Currency: Nil (PY: Nil).

11. Ratios:

Ratios	Formula	FY 2022-23		FY 2021-22		% Change
		Basis (₹ in lakhs)	Ratios	Basis (₹ in lakhs)	Ratios	
Current Ratio (#)	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	$\frac{2215.81}{16.85}$	131.50	$\frac{2110.44}{6.07}$	347.68	-62.18%
Return on Equity Ratio / Return on Capital Employed / Return on Investment (*)	$\frac{\text{Net Profit After Tax} \times 100}{\text{Networth}}$	$\frac{96.13}{4049.19}$	2.37%	$\frac{461.28}{3953.06}$	11.67%	-79.65%
Trade Receivables Turnover Ratio (\$)	$\frac{\text{Credit Sales}}{\text{Average Trade Receivables}}$	$\frac{282.1}{26.155}$	10.79	$\frac{245.48}{34.67}$	7.08	52.33%
Trade Payables Turnover Ratio	$\frac{\text{Net Credit Purchases}}{\text{Average Trade Payables}}$	$\frac{127.66}{3.01}$	42.48	$\frac{71.75}{1.98}$	36.24	17.23%
Net Capital Turnover Ratio (\$)	$\frac{\text{Sales}}{\text{Net Assets}}$	$\frac{282.1}{4049.19}$	0.07	$\frac{245.48}{3953.06}$	0.06	12.19%
Net Profit Ratio	$\frac{\text{Net Profit After Tax} \times 100}{\text{Sales}}$	$\frac{96.13}{288.1}$	33.37%	$\frac{461.28}{650.27}$	70.94%	-52.96%
Debt-Equity Ratio / Debt Service Coverage Ratio	Not Applicable since the Company does not have any Debt					
Inventory Turnover Ratio	Not Applicable since the Company is a service provider and does not have any Inventory					

(#) Current Ratio has declined due to increase in current liabilities

(*) Return on Equity / Capital Employed / Investment is higher in the previous year on account of profit on redemption of Debt Mutual Funds.

(\$) Trade Receivables and Net Capital Turnover Ratio is impacted on account of increase in revenue from operations

12. The MAT credit (asset) as on 31st March 2023 amounting to Rs.25.35 lakh (P.Y. Rs.39.54 lakh) has not been recognised in the books of account as there is no convincing evidence of its adjustment in future.

13. Previous year's figures have been regrouped/reclassified, wherever necessary, to conform to the current year's classification.

As per our report of even date

For S. G. SALECHA & Co.
Chartered Accountants
Firm Regn. No. 108986W

Sd/-
Dharamraj D Singh
Partner
M. No.146179

For and on behalf of the Board of Directors

Sd/-
Achal Kumar Gupta
Director
DIN: 02192183

Sd/-
P. B. Santhanakrishnan
Director
DIN: 03213653

Sd/-
Inderjeet Ghuliani
Chief Financial Officer
(SBI Funds Management Limited)

Place: Mumbai
Dated: April 28, 2023

Dated: April 28, 2023

